Carpenter Technology Corporation

(NYSE: CRS)

Recommendation: HOLD

Price (as on 12 February 2026): $367.98

12-month Price Target: $363.69

Upside / (Downside): ▼(1.17%)

All figures in USD unless otherwise noted

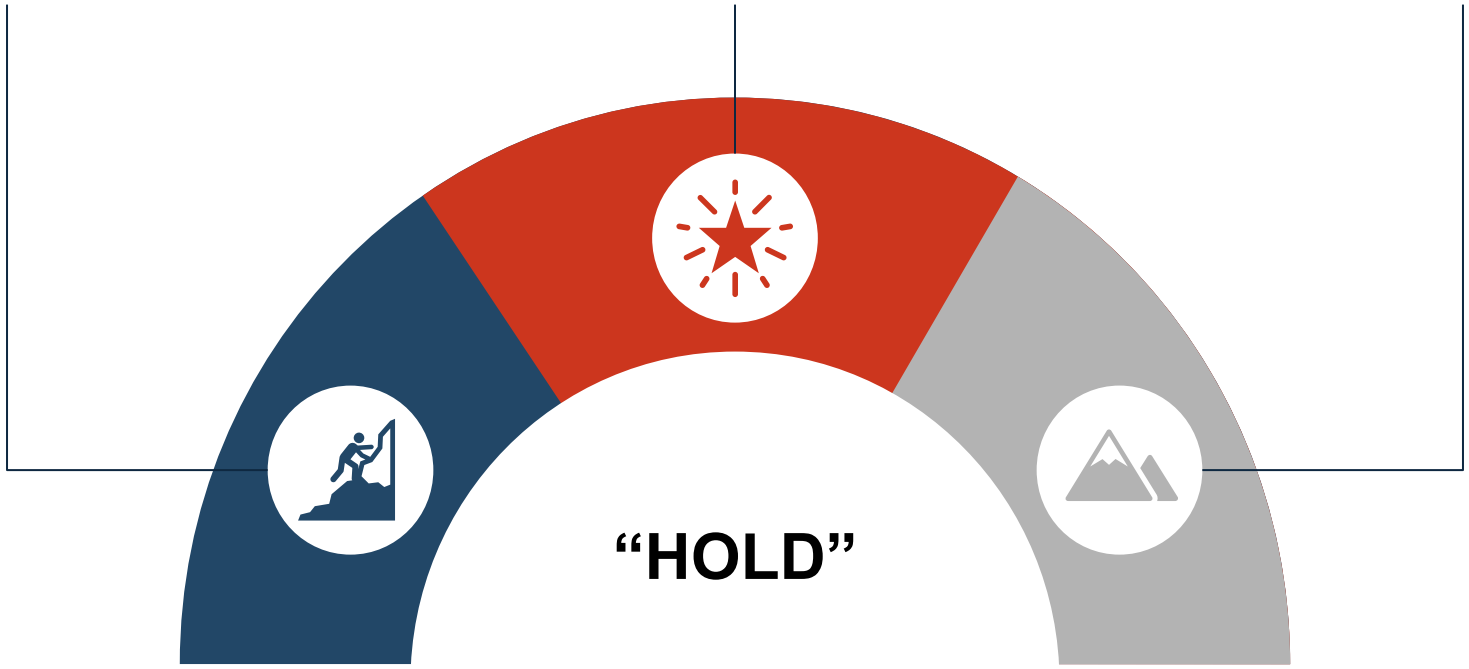
Strong End-Market Tailwinds Priced Into Current Multiples

We issue a **HOLD** recommendation with a 12-month price target of **$363.69**, implying a **~1.2% downside**

Continued Profitability Growth
Operating Margins up to 18.4% in 4 years from –2.9%

Secular A&D Catalysts Drive Record Backlogs and Pricing Power

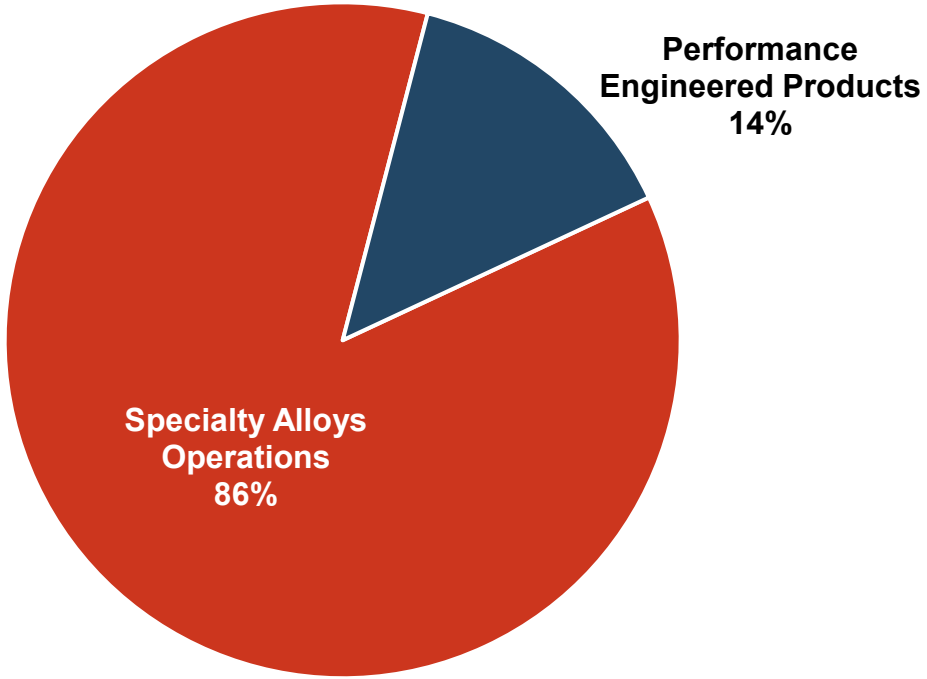
Peak Valuation
P/E ratio 40% Premium to Historical Levels



Strategic Aerospace and SAO Exposure Underpin Durable Margins

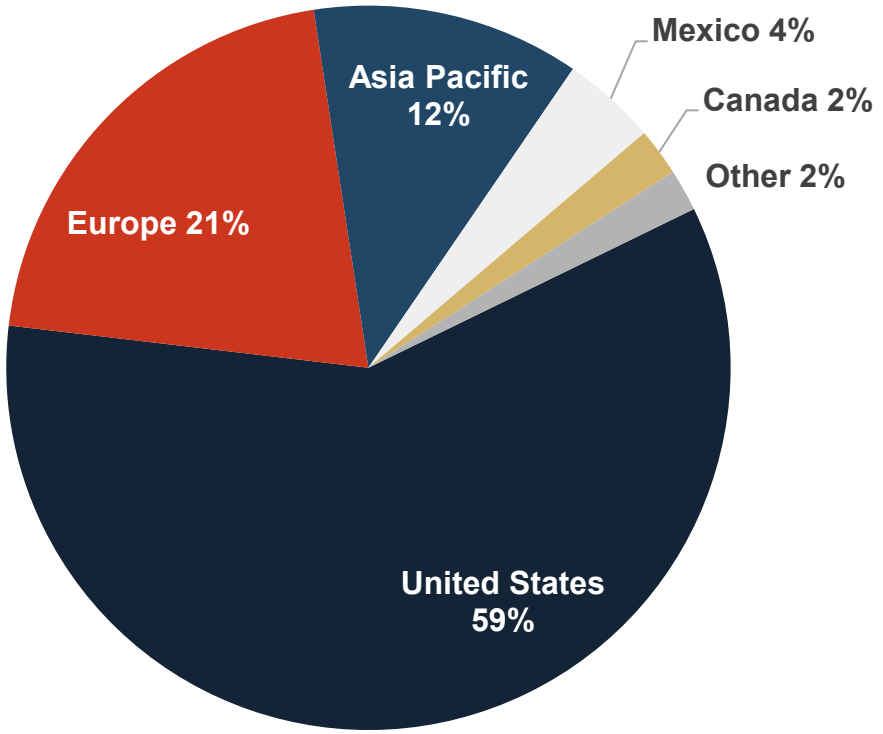
CRS is concentrated in higher-value aerospace and engine markets, driven by Specialty Alloys Operations and supporting durable margins.

FY25 Net Sales by Segments



Source: Company Reports, Team Analysis

FY25 Geographic Net-Sales Mix

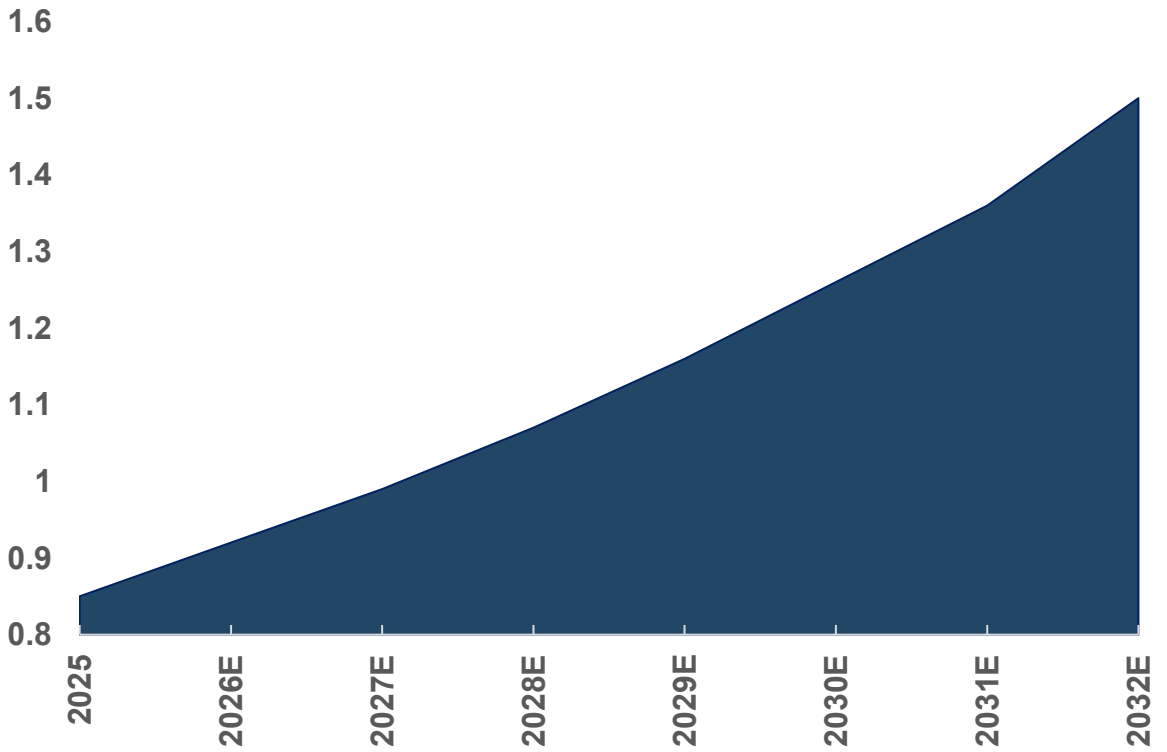


Source: Company Reports, Team Analysis

Aerospace Growth and Constrained Supply Support Pricing Power

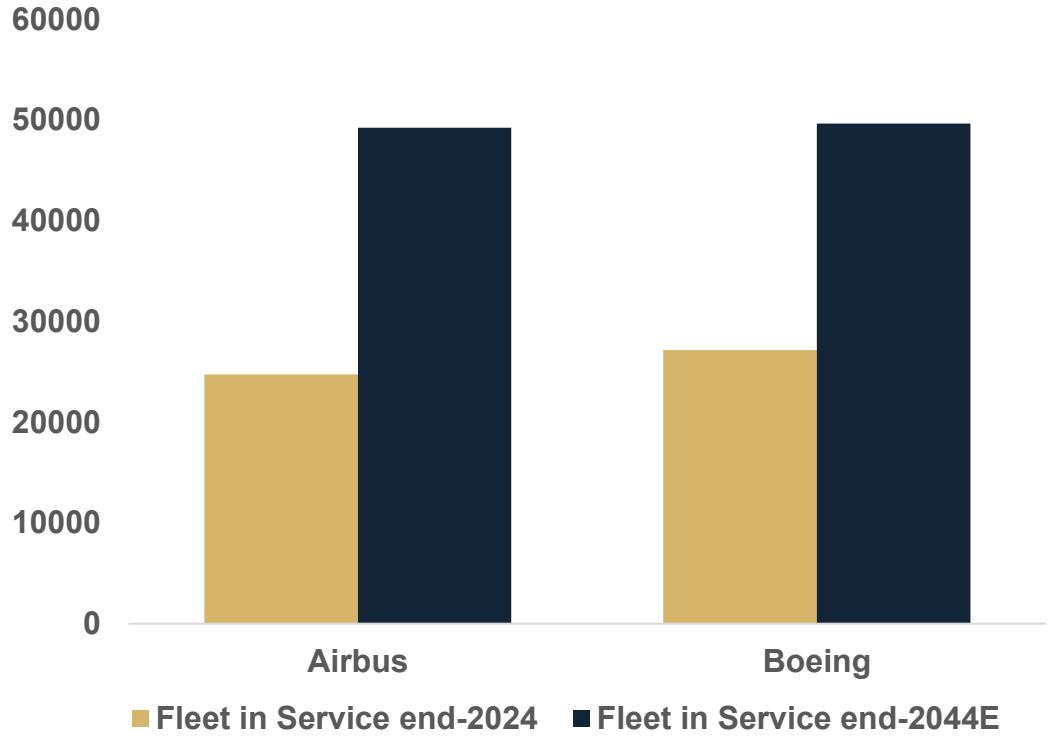
Positioned in a demand-supported, supply-constrained industry, Carpenter has leveraged its premium aerospace and alloy mix to deliver superior margin expansion.

Aerospace & Defense Drives Structural Demand ($ trillion)



Source: Global Market Insights – Aerospace & Defense Market Outlook 2025-2032, Team Analysis

Airbus and Boeing Commercial Fleet in Service: 2024 vs 2044E

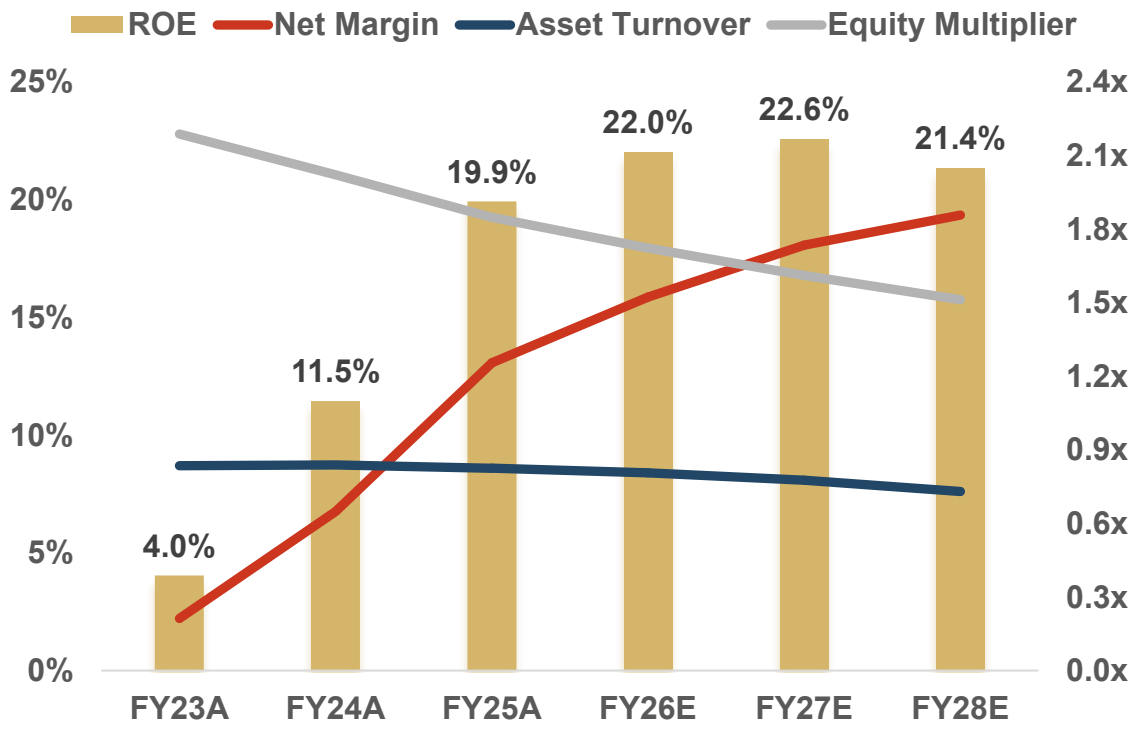


Source: Airbus Global Market Forecast (GMF) 2025, Boeing Commercial Market Outlook (CMO) 2025, Team Analysis

Profitability and Cash Flow Drive Returns

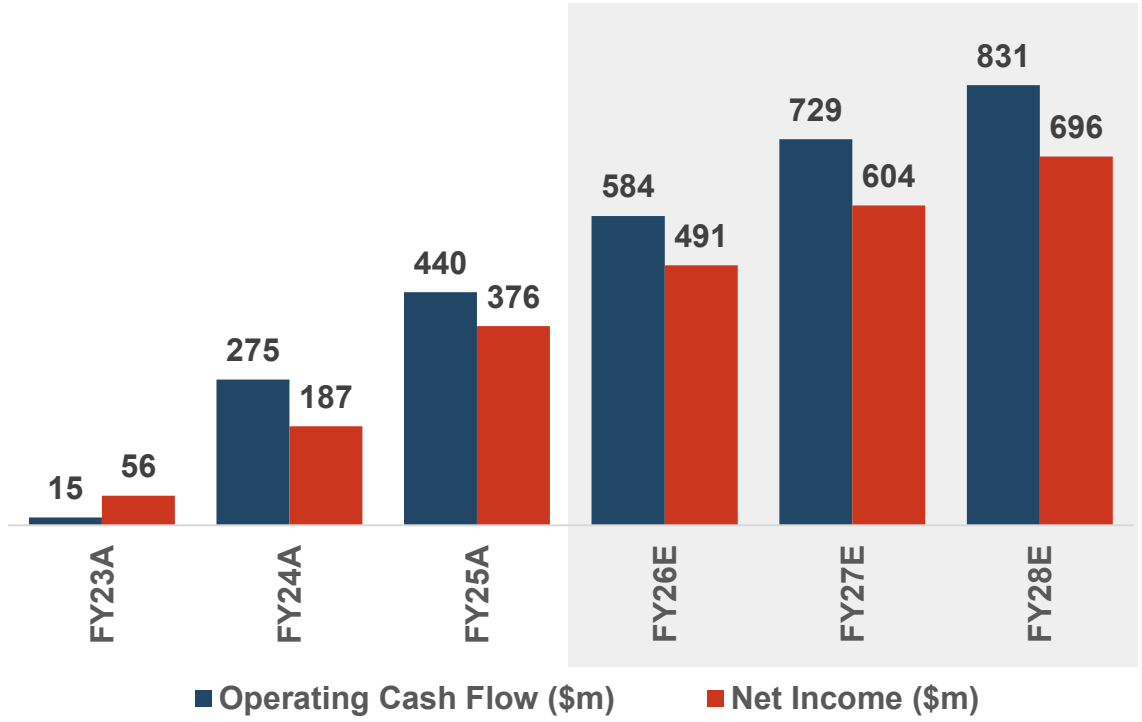
Carpenter delivers margin-led ROE in a demand-supported, supply-constrained specialty alloys market, with strong cash flow backed by rising profitability.

ROE Decomposition: Margin Led Returns with Declining Leverage (DuPont Analysis)



Source: Company Reports, FactSet, Team Analysis

High-Quality Earnings Supported by Strong Cash Flow Conversion

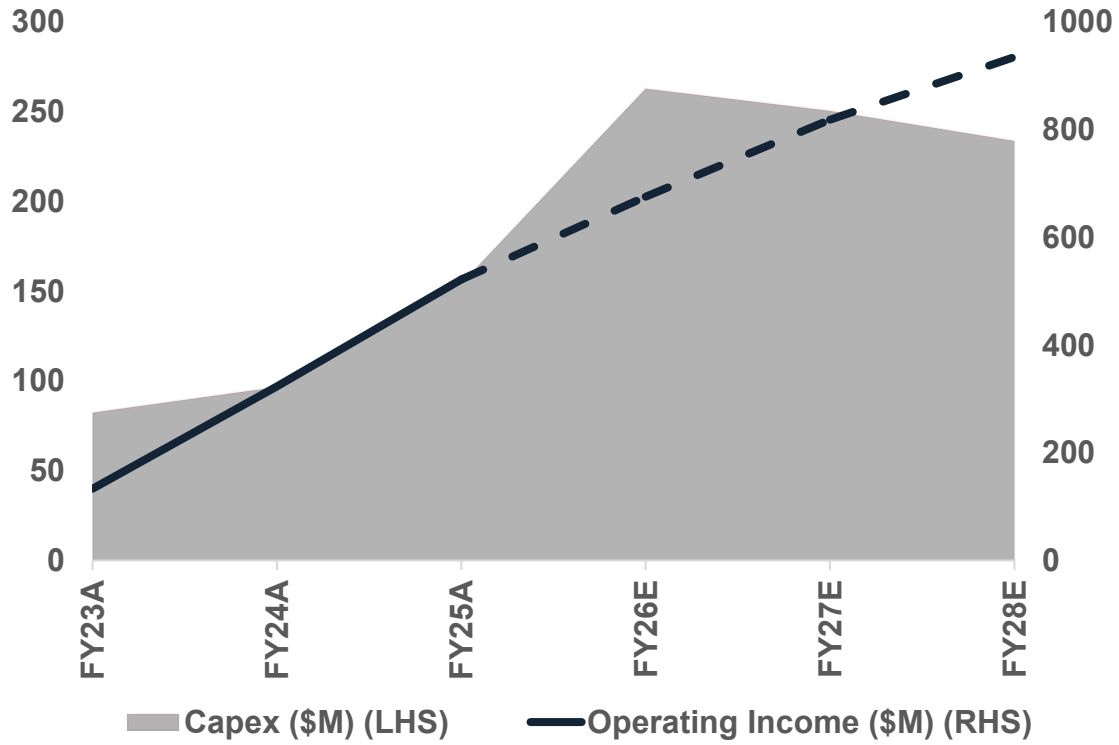


Source: Company Reports, FactSet, Team Analysis

Margin Expansion Through Reinvestment

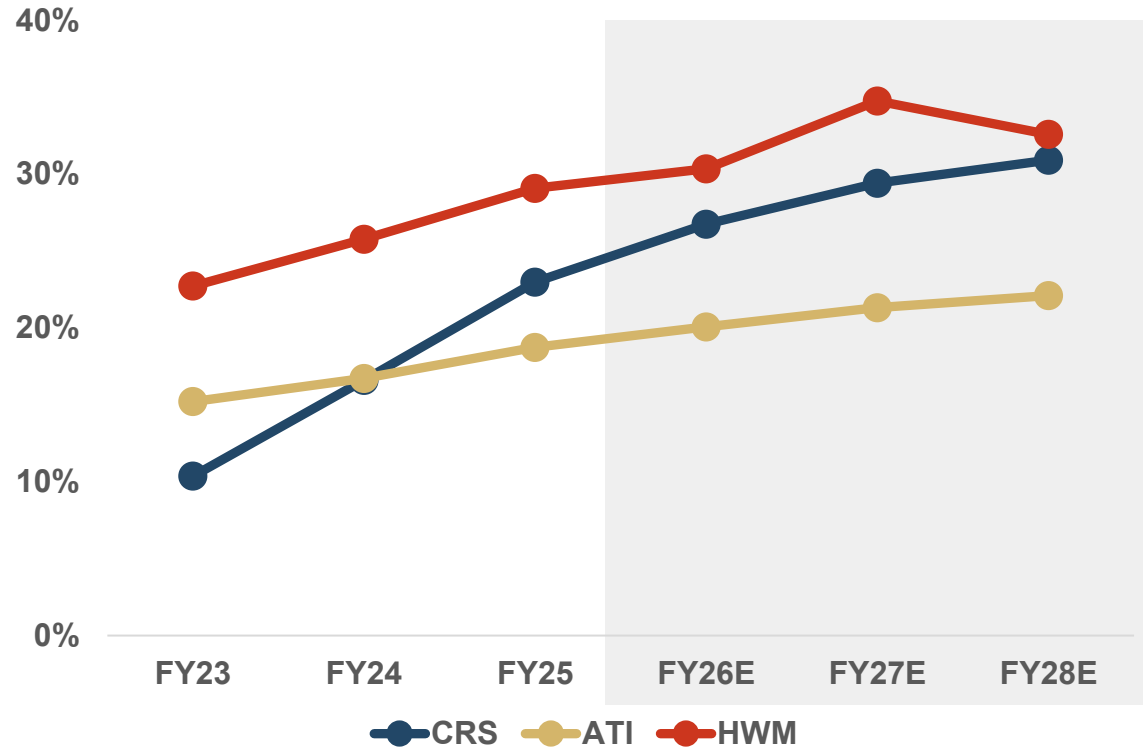
Disciplined, front-loaded investment is lifting earnings, with CRS showing the strongest margin momentum among peers.

Disciplined Reinvestment Supports Operating Income Growth



Source: Company Reports, FactSet, Team Analysis

EBITDA Margin vs Competitors

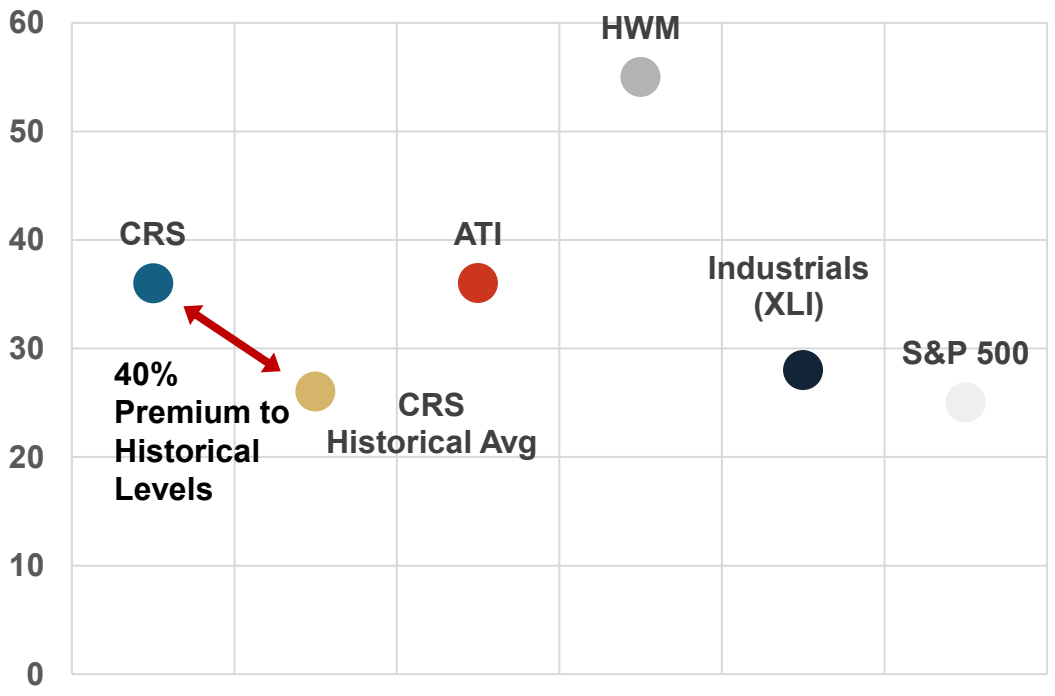


Source: Company Reports, FactSet, Team Analysis

CRS Has Undergone Structural Improvements; But HOLD at Current Valuation

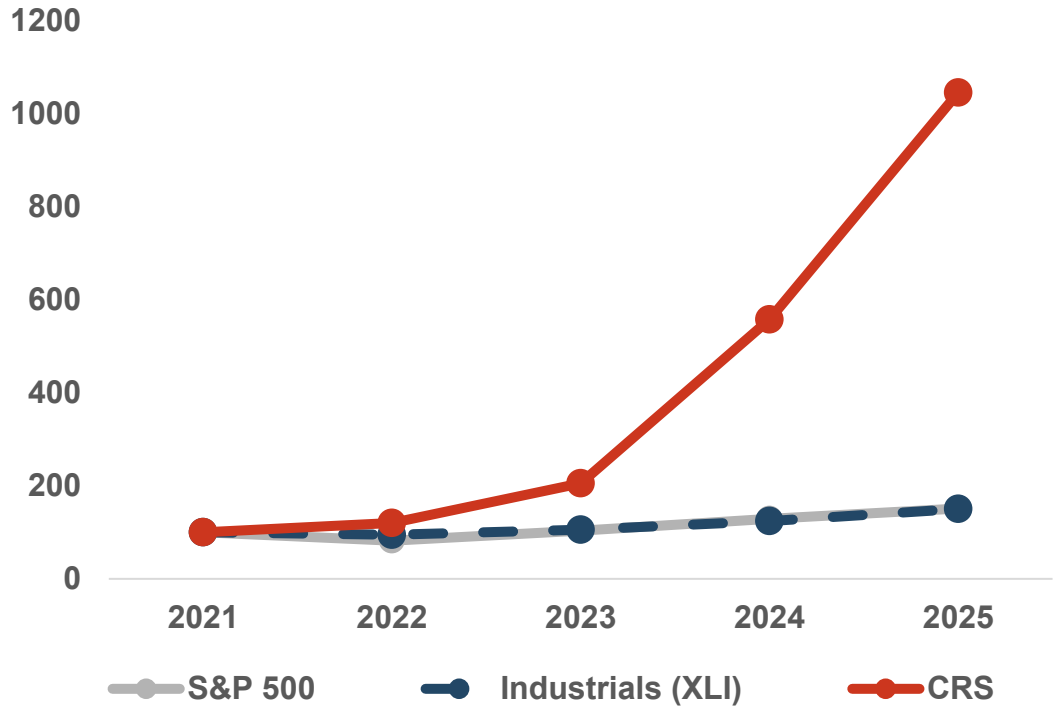
CRS has repositioned into a high-margin, mission-critical alloys supplier, improving earnings durability and returns. However, the valuation already reflects this shift, limiting upside at current levels.

CRS Valuation Elevated Compared to the Market and Historical (P/E Ratio)



Source: Company Reports, FactSet, Team Analysis

4-year Performance of CRS, Industrials, and S&P 500 rebased to 100

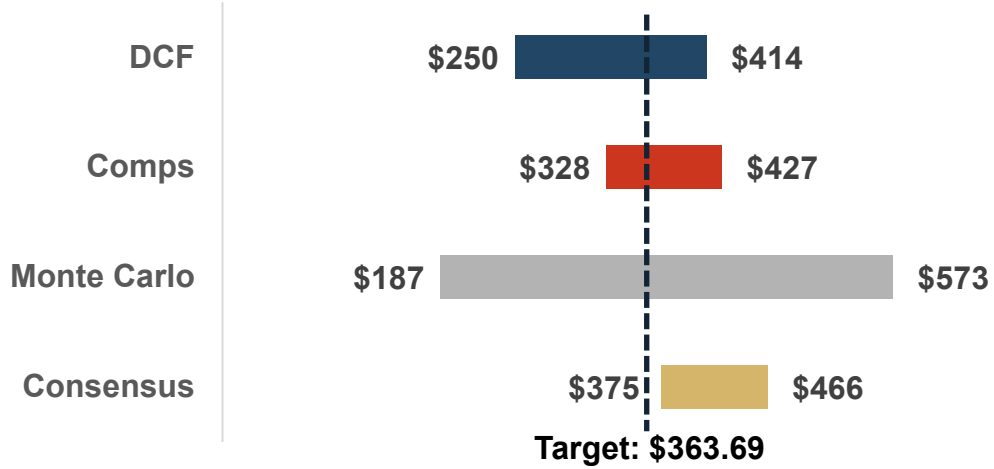


Source: FactSet, Team Analysis

Carpenter is Fairly Valued According to our Intrinsic and Relative Valuation

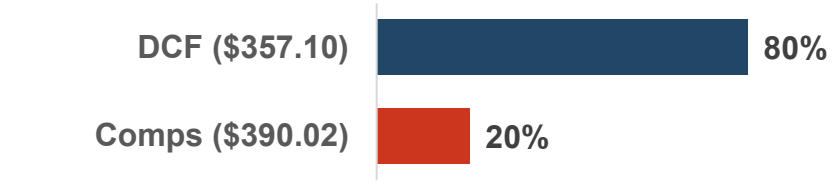
Our Discounted Cash Flow Model shows ~3% downside, while the Comps Model gives ~6% upside

Valuation Football Field



Source: Team Analysis

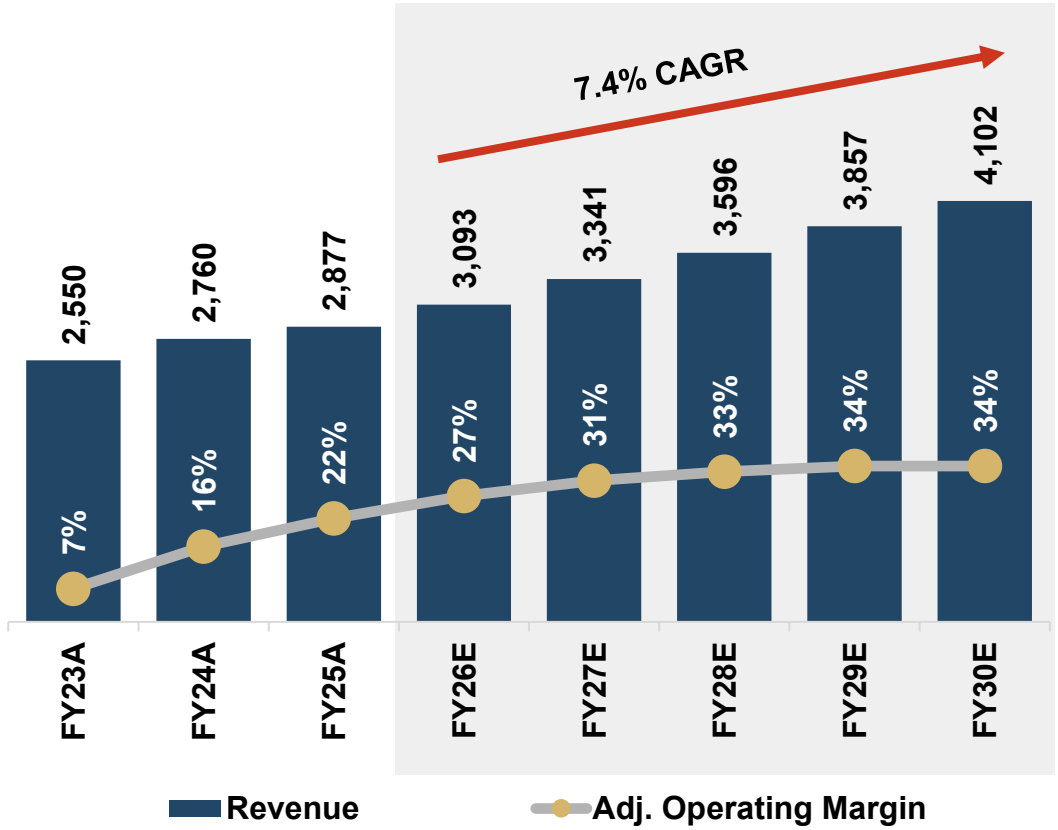
Valuation Drivers



Blended Target Price: $363.69

Source: Team Analysis

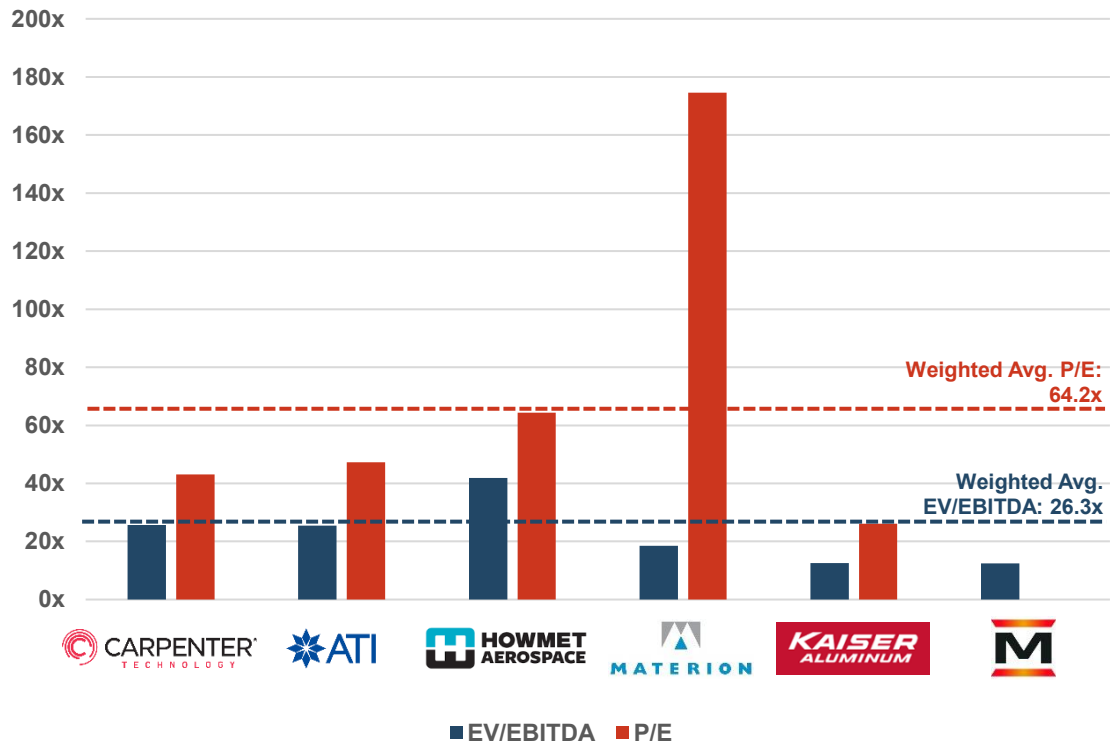
Revenue to grow at ~7.4% CAGR, Margins to stabilize at 34% post FY28E



Source: Company Reports, FactSet, Team Analysis

Our Scenario Analysis Considers Varying Key Value Drivers in Bull-Bear Case

At 25.7x EV/EBITDA and 43.1x P/E, CRS is already priced fairly compared to its peers, with ~6% upside



Source: Team Analysis

We conducted scenario analysis to account for change in A&D demand, OEM production, and price realization

DCF Scenario Analysis	Bull	Base	Bear
Target Price	**$413.95**	**$357.10**	**$250.05**
Upside/(Downside)	12.5%	-3.0%	-32.0%
EV/EBITDA Terminal Multiple	19.5x	18.5x	17.5x
Gross Margin (FY30E)	37.0%	35.0%	27.5%
EBITDA Margin (ex-surcharges) (FY30E)	41.1%	39.9%	30.5%
Adj. Operating Margin (FY30E)	35.3%	33.8%	24.2%
Net Margin (ex-surcharges) (FY30E)	26.7%	25.4%	17.8%
WACC	9.45%	9.45%	9.45%

Comps Scenario Analysis	Bull	Base	Bear
Target Price	**$427.08**	**$390.02**	**$328.47**
Upside/(Downside)	16.1%	6.0%	-10.7%
EV/EBITDA Multiple	28.3x	26.3x	21.3x
P/E Multiple	56.2x	49.2x	46.2x

Source: Company Reports, FactSet, Team Analysis

Adequate ESG Standards Offer Little Room for Further Alpha

Environmental

- 90% Nuclear-Powered Production
- 63% Recycled Scrap Metal Feedstock
- Intensity vs. Absolute Targets

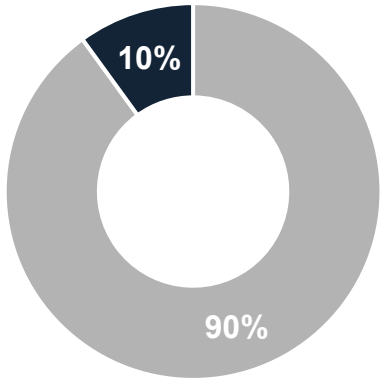
Social

- Safety Discipline Through 1.4 TRIR
- 8.2 Years Avg Employee Tenure
- 13% Female Workforce

Governance

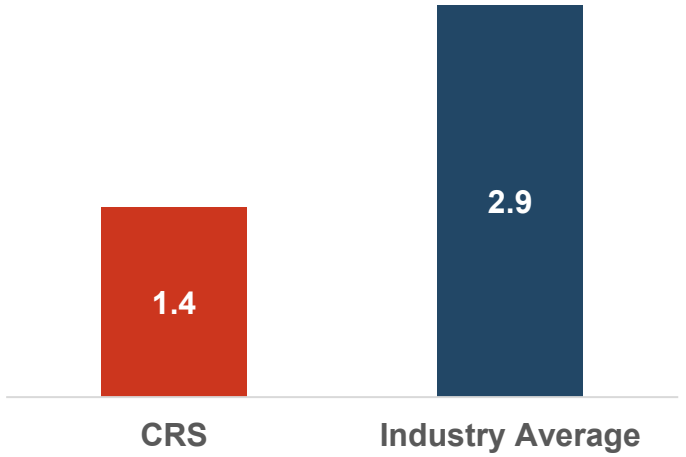
- 91% Board Independence
- 81% CEO Compensation at Risk
- Established Proxy Rights

Energy Mix Advantage



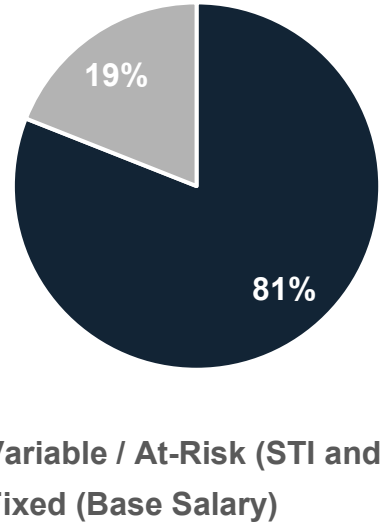
Source: CRS 2025 Sustainability Report, Team Analysis

Total Incident Rate



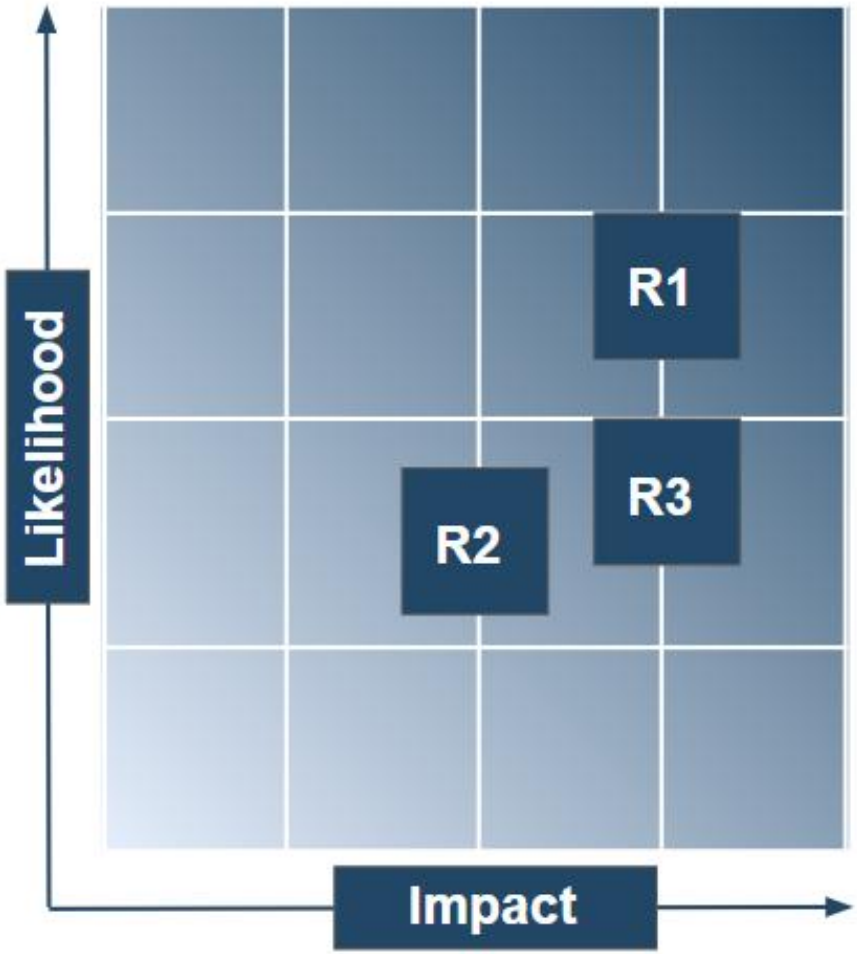
Source: CRS 2025 Sustainability Report, Team Analysis

CEO Pay Alignment



Source: Company Reports, Team Analysis

Concentration and Execution Risk Limit Upside Potential

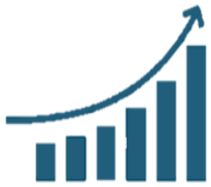


Risk 1	Heavy Dependence on Aerospace and Defense Sector
Risk 2	Brownfield Expansion Execution
Risk 3	Extended Valuations Pricing in Perfection

Source: Team Analysis

Strong End-Market Tailwinds Priced into Current Multiples

We issue a **HOLD** recommendation with a 12-month price target of **$363.69**, implying a **~1.2% downside**



Operating Margins Expanding – -2.9% to 18.41% in 4 years



Global Leader in Specialty Alloy Production



Prioritizing Profit Over Volumes – Net Income up 575% in 3 years



Heavy Exposure to Aerospace and Defense – 61% of FY25 Revenue



Increasing Production – Brownfield Expansion Expected to Come Online in FY28



Stretched Valuations – Valuation Ratios at 40-50% Premium to Historical Average

Appendix Map

1. Overview
- History of Carpenter Technology
- Price Performance with Key Events (2019-2026)
- Board of Directors I
- Board of Directors II
- Leadership Team I
- Leadership Team II
- PESTEL Analysis
- SWOT Analysis
- Porter's Five Forces Analysis
- Global Defense Spending and Growth Trends
- Aerospace & Medical End-Market Trends
- CRS Margin Performance and End-Market Mix
- Carpenter Technology's Past Acquisitions

2. Financial Analysis
- Financial Statement Analysis

3. Investment Summary
- Investment Summary

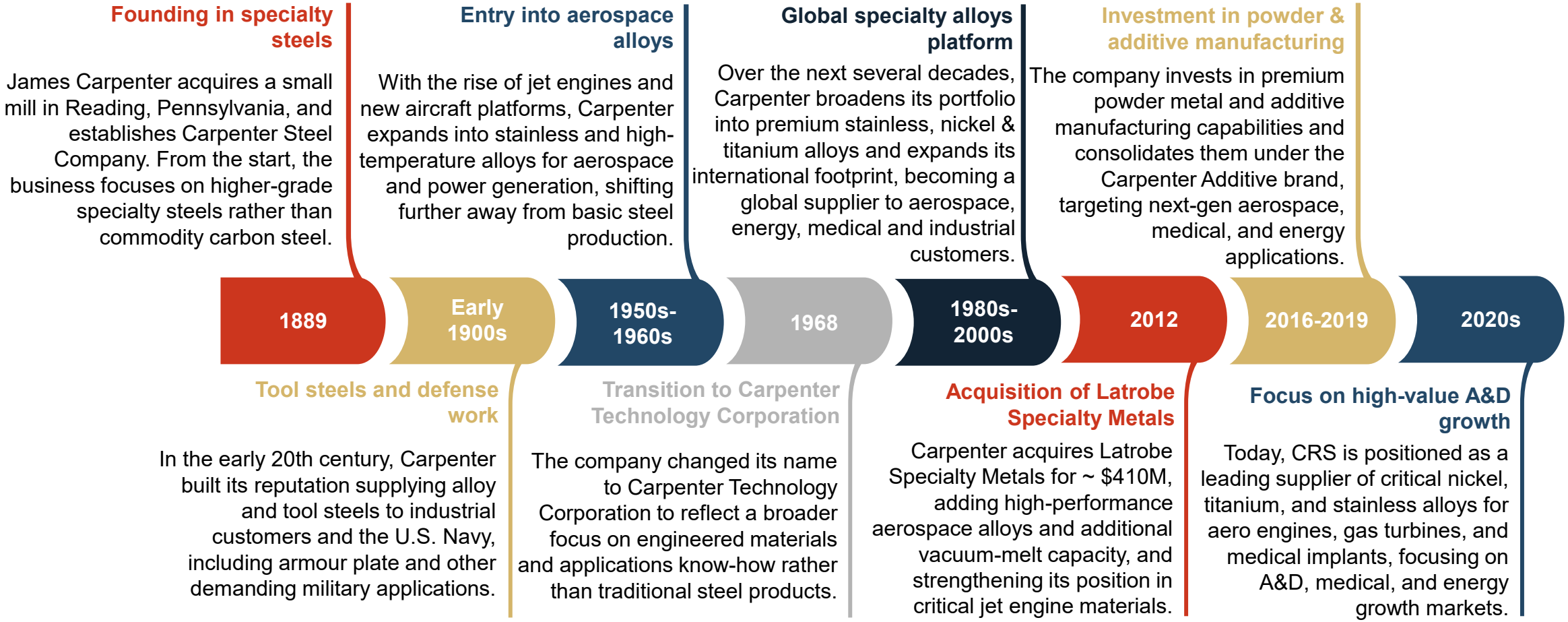
4. Valuation
- Income Statement and Revenue Trends
- EBITDA Forecast and Operating Statistics
- Sales in Europe shall continue to expand
- Balance Sheet Health
- Cash Flow Analysis
- PP&E Schedule and Capex Forecast
- Net Working Capital Analysis
- Free Cash Flow Forecast and DCF Valuation
- WACC Breakdown
- Sensitivity and Regression Analysis
- Relative (Comps) Valuation
- Monte Carlo Simulation

5. ESG
- Operational Sustainability: Circular Economy and Workforce Stability

6. Risks
- Risks
- Macroeconomic & Geopolitical Factors Shaping Performance

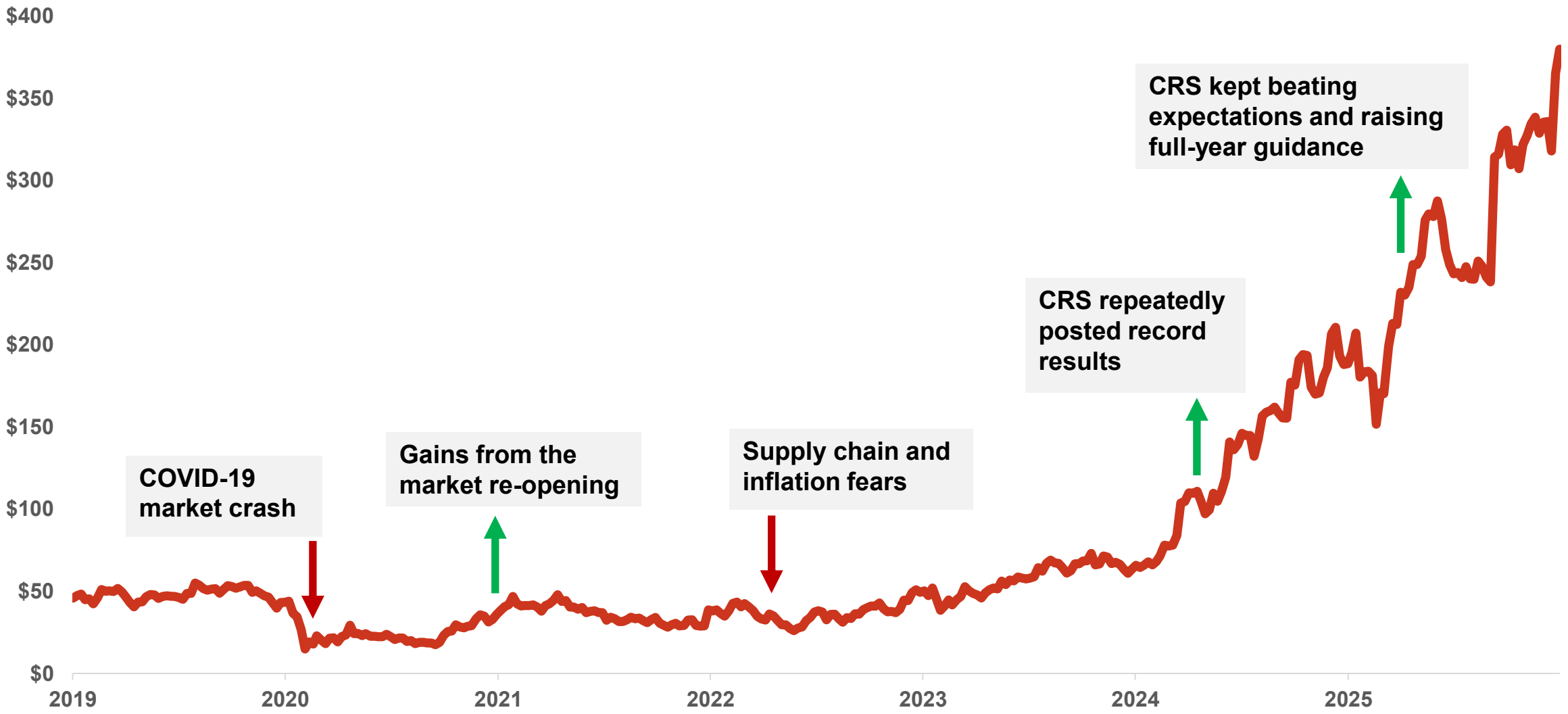
7. Others
- Sources

History of Carpenter Technology



Source: Company website, Team Analysis

Price Performance with Key Events (2019-2026)



Source: FactSet, Team Analysis

Board of Directors I

Name	Designation	Background
Tony R. Thene	Chairman and Chief Executive Officer	More than 30 years of experience in metals and industrials. Chief Executive Officer of Carpenter since 2015 and Chairman since 2025. Previously Senior Vice President and Chief Financial Officer of Carpenter and, before joining the company, spent 23 years at Alcoa in a range of finance and operating roles including Chief Financial Officer positions in several business units. Holds a degree in Accounting and an MBA.
Dr. Viola L. Acoff	Director	Dr. Acoff joined the board in 2019 and is Dean of the School of Engineering and Professor of Mechanical Engineering at the University of Mississippi. She previously spent nearly 30 years at the University of Alabama in metallurgical engineering teaching and leadership roles. Dr. Acoff holds undergraduate, graduate and PhD degrees in Materials/Metallurgical Engineering from the University of Alabama at Birmingham and serves on several technical and nonprofit boards.
Julie Beck	Director	Ms. Beck has served as a director since 2025 and is Senior Vice President, Chief Financial Officer and Treasurer of MSA Safety. She brings more than three decades of financial leadership to global industrial manufacturers, including prior CFO roles at Terex and NOVA Chemicals and senior finance positions at Joy Global and other companies. Ms. Beck holds a bachelor's degree in accounting from the University of Wisconsin–Madison and is a Certified Public Accountant.
Dr. A. John Hart	Director	Dr. Hart joined Carpenter Technology's board in 2019. He is Professor and Head of Mechanical Engineering at MIT, where he also leads initiatives in new manufacturing and advanced production technologies and works closely with industry. Dr. Hart has co-founded or advised several manufacturing start-ups and holds a master's and PhD degree in Mechanical Engineering from the University of Michigan.
Steven E. Karol	Director	Mr. Karol has been a director since 2012 and is the founder and Managing Partner of Watermill Group, a private investment firm focused on strategic and operational transformation of industrial businesses. He previously served on the board of Latrobe Specialty Metals, acquired by Carpenter Technology in 2012, and has extensive board experience across industrial, educational and nonprofit organizations. Mr. Karol is also active in business and community leadership groups.
Kathleen Ligocki	Director	Ms. Ligocki joined the board in 2017 and is a former multi-time CEO with broad experience leading auto, clean energy and industrial businesses, including Agility Fuel Solutions, Harvest Power and Tower Automotive. She currently serves on the public boards of Lear Corporation and PPG Industries, and several private and advisory boards focused on innovation and sustainability. Ms. Ligocki holds a BA from Indiana University Kokomo and an MBA from the Wharton School.

Source: Company website, Team Analysis

Board of Directors II

Name	Designation	Background
Charles (Chuck) McLane Jr.	Director	Mr. McLane became a director in 2020. He is the former Executive Vice President and Chief Financial Officer of Alcoa, where he led the global finance organization and shared services after a long finance career at Reynolds Metals. Mr. McLane now serves on several corporate and nonprofit boards and holds both bachelor's and master's degrees in accounting from Virginia Commonwealth University.
Colleen Pritchett	Director	Ms. Pritchett joined Carpenter Technology's board in 2024. She has more than 25 years of experience leading advanced materials and industrial businesses globally, most recently as President, Aperture Solutions – U.S. at Cornerstone Building Brands and previously as Americas Aerospace President at Hexcel after a long career at DuPont. Ms. Pritchett holds a BS in Chemical Engineering from Penn State University and an MBA from Emory University's Goizueta Business School.
Stephen M. Ward Jr.	Lead Independent Director	Mr. Ward has served on the board since 2001 and was appointed Lead Independent Director in October 2025. He is the former President and Chief Executive Officer of Lenovo and previously spent 26 years at IBM in senior leadership roles, including Chief Information Officer and General Manager of the Global Industrial Sector and ThinkPad product lines. Mr. Ward has held multiple public and private company board positions and holds a BS in Mechanical Engineering from California Polytechnic State University, San Luis Obispo.
Ramin Younessi	Director	Mr. Younessi became a director in 2021. He is the former Group President of Caterpillar's Construction Industries Group and previously led its Energy & Transportation segment, with responsibility for a broad portfolio of global equipment and engine businesses. Earlier in his career, he held senior manufacturing and engineering roles at Daimler and Navistar and served as a board member and advisor to Madison Dearborn Partners. Mr. Younessi holds multiple degrees in Electrical/Engineering disciplines and is a registered professional engineer.
Howard Yu	Director	Mr. Yu joined Carpenter Technology's board in 2024. He brings more than 25 years of finance and leadership experience at global multinationals, most recently as Executive Vice President and Chief Financial Officer of Ball Corporation and previously as CFO of Envista and several Danaher divisions worldwide. Mr. Yu holds a BA in Economics/Business from UCLA and an MBA from the University of Southern California and is a Certified Public Accountant (California, inactive).

Source: Company website, Team Analysis

Leadership Team I

Name	Designation	Background
Tony R. Thene	Chairman and Chief Executive Officer	More than 30 years of experience in metals and industrials. Chief Executive Officer of Carpenter since 2015 and Chairman since 2025. Previously Senior Vice President and Chief Financial Officer of Carpenter, and before joining the company, spent 23 years at Alcoa in a range of finance and operating roles, including Chief Financial Officer positions in several business units. Holds a degree in Accounting and an MBA.
Brian J. Malloy	President and Chief Operating Officer	Brian Malloy became President and COO in 2025 and oversees both SAO and PEP. He previously led Carpenter's flagship SAO and PEP businesses and served as Chief Commercial Officer, following senior roles at Ametek and at Alcoa / Arconic / Howmet in industrial gas turbines. He holds an MBA from William & Mary and a civil engineering degree from Virginia Tech.
James D. Dee	Senior Vice President, General Counsel and Secretary	Jim Dee has been General Counsel and Chief Compliance Officer since 2020, responsible for corporate governance, securities compliance, and global commercial legal matters. He brings almost 30 years of industrial and manufacturing legal experience from C&D Technologies, SPS Technologies, and a leading corporate law firm. Jim is a graduate of the University of Pennsylvania and the William & Mary School of Law and is licensed to practice before the US Patent and Trademark Office.
Timothy Lain	Senior Vice President and Chief Financial Officer	Chief Financial Officer since 2020 with more than 30 years of finance experience, including 18 years at Carpenter. Previously served as Vice President and Chief Financial Officer and as Vice President, Controller and Chief Accounting Officer for the company. Prior to joining Carpenter, worked as an Audit Director at McGladrey and Pullen. Holds a bachelor's degree in accounting and is a Certified Public Accountant.

Source: Company website, Team Analysis

Leadership Team II

Name	Designation	Background
Marshall Akins	Vice President and Chief Commercial Officer	Marshall Akins leads Carpenter's global commercial organisation, covering strategy, market development and sales across end markets. He joined the company in 2016 to run Aerospace and Defense after a consulting career at Boston Consulting Group advising industrial clients on growth and efficiency. Marshall holds an MBA from Harvard Business School and a bachelor's degree from Princeton University.
Shakthimani Logasundaram	Vice President and Chief Digital Officer	Shakthimani "Shakthi" Logasundaram drives Carpenter's end-to-end digital strategy and data initiatives. He joined in 2021 from Honeywell, following nearly 20 years in senior technology and information roles at GE, including CIO for Downstream Technology Solutions. Shakthi has an engineering background, advanced computing training, and is a Six Sigma black belt certified.
Suniti Moudgil	Vice President and Chief Technology Officer	Suniti Moudgil leads Carpenter's technology strategy, R&D organization, and patent portfolio. She joined in 2021 after more than 17 years at DuPont, where she held global technology and R&D leadership roles across electronics and industrial materials. Suniti holds a BS in Chemical Engineering from the University of Florida and a PhD in Chemical Engineering from MIT.
Rachelle H. Thompson	Vice President and Chief Human Resources Officer	Rachelle Thompson serves as CHRO, overseeing culture, organizational development, and global talent strategy. Before joining Carpenter in 2020, she was a partner at McGuireWoods focused on IP and complex litigation and previously worked in academic and industrial chemical research. Rachelle holds a BS in Chemistry from Furman University, a PhD in Chemistry from Stanford University and a JD magna cum laude from the University of San Diego School of Law.

Source: Company website, Team Analysis

PESTEL Analysis

P Political	E Economic	S Social	T Technological	E Environmental	L Legal
• Higher geopolitical tension, including current conflicts and broader great power competition, supports defense budgets and demand for advanced materials in engines, missiles and related systems. • Trade policy, sanctions and export controls can affect which countries Carpenter can serve and where it can source certain strategic raw materials. • Industrial policy in the United States and allied countries is increasingly focused on secure and domestic supply chains for critical defense and energy materials, which is supportive for qualified producers.	• Air travel and industrial activity depend on global GDP, disposable income, and business investment. Weaker growth or recession would weigh on new equipment demand, although aftermarket and defense tend to hold up better. • Interest rates and financing conditions drive capital spending decisions for airlines, turbine OEMs and hospitals, and therefore the timing and pace of orders. • Currency moves matter because customers are global and Carpenter's production base is mainly in the United States, which can impact relative competitiveness versus foreign mills.	• Ageing populations and longer life expectancy support steady growth in orthopedic and cardiovascular procedures, which feeds into demand for medical implant alloys. • Expectations for safety, reliability and uptime in both air travel and power generation keep the spotlight on high integrity materials and proven suppliers. • Stakeholders are paying more attention to issues such as diversity, workplace safety and community impact, shaping what is expected from Carpenter's governance and culture.	• Ongoing improvements in aero engine design, higher turbine inlet temperatures and more efficient power generation push alloy performance requirements higher and reinforce the value of specialized R&D. • Additive manufacturing, advanced powder metallurgy and digital process control create new application opportunities and support the Carpenter Additive platform. • At the same time, faster innovation cycles mean Carpenter has to keep investing to have its alloys qualified on the next wave of commercial and defense platforms.	• Climate policy and the push for lower emissions encourage more efficient engines and turbines, which in turn require higher-performance materials, but also increase scrutiny of the energy use and carbon footprint of the melt process itself. • Customers and regulators are asking more questions about responsible sourcing, waste management and lifecycle emissions, which drives further investment in environmental systems and reporting. • Physical climate risks, such as extreme weather events or water stress, can disrupt operations or logistics in certain regions.	• Carpenter operates under strict rules on product safety, traceability, export controls, workplace safety and environmental performance. • Changes in environmental regulation, energy policy, or potential carbon pricing can raise operating costs and influence future capital spending. • Intellectual property protection, antitrust oversight and new disclosure expectations on climate and human capital also influence how the company manages risk and communicates with investors.

Source: Team Analysis

SWOT Analysis

Strengths

- Focused portfolio of high-value nickel, titanium, and stainless alloys with meaningful content in aero engines, industrial gas turbines, and medical implants.
- Strong technical capabilities and long-standing customer relationships, often under multiyear agreements, which create high switching costs and better visibility on volumes and pricing.
- Track record of outgrowing and out-earning key peers since the pandemic, backed by a large, higher margin backlog in aerospace and turbine programs.
- Integrated Specialty Alloys Operations platform with room for brownfield expansion, supported by niche Performance Engineered Products businesses.

Weaknesses

- Heavy reliance on aerospace and turbine demand leaves earnings sensitive to changes in build rates, inventory corrections, and wider sentiment in those markets.
- The business is capital-intensive, and capacity additions have long lead times, which reduces flexibility and requires investment through the cycle.
- Leverage and working capital can drift higher during rapid ramps, which puts pressure on free cash flow if execution is not tight.
- Some downstream and additive activities are still relatively small, so they do not yet provide a full counterbalance to volatility in the core melt business.

Opportunities

- Further recovery and ramp up in commercial aerospace, including higher narrow-body and wide-body build rates and strong engine overhaul activity.
- Continued growth in defense platforms, industrial gas turbines, and energy infrastructure that depend on high-temperature alloys.
- Expansion in medical and other specialized applications where regulatory barriers and performance needs to give an edge to experienced, qualified suppliers.
- Additional productivity improvements, mix upgrades, and potential portfolio moves that could lift returns and help close the valuation gap versus peers over time.

Threats

- Macro shocks that hit air traffic, industrial production, or energy investment and lead to delays, cancellations, or deferrals of customer programs.
- New qualified capacity from existing competitors, or faster dual sourcing by key OEMs, that could weaken pricing or dilute share on core platforms.
- Sharp moves in raw material or energy costs that strain surcharge mechanisms or disrupt the supply chain.
- Execution errors during capacity expansions, product quality problems or significant safety or environmental incidents that could damage reputation and trigger costly remediation or lost business.

Source: Team Analysis

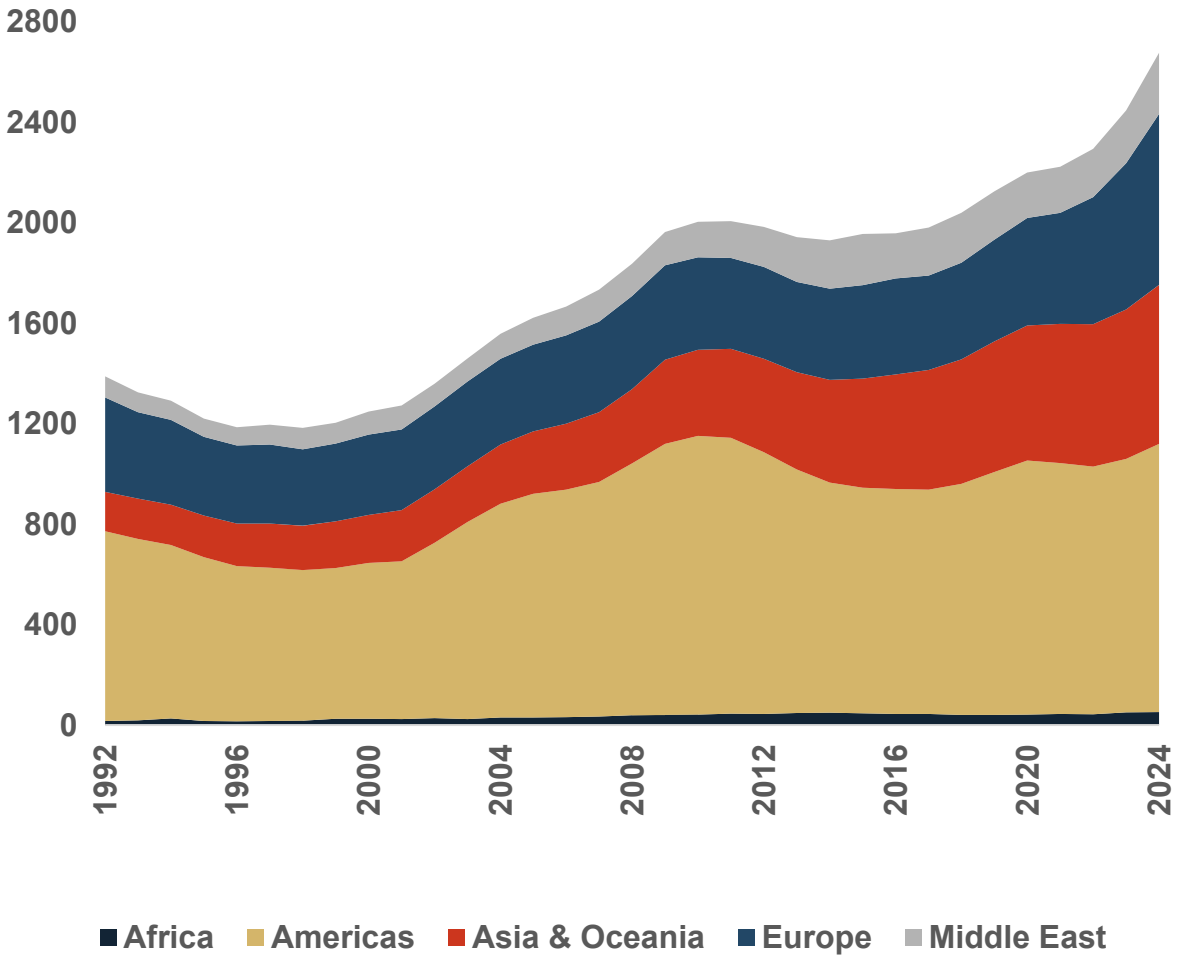
Porter’s Five Forces Analysis

Customer power	• The customer base is quite concentrated in a handful of aero engine OEMs, large tier one suppliers and big MedTech and turbine manufacturers, so each account is large and demanding. • Long term agreements, qualification hurdles and tight capacity soften day to day price pressure, but these customers still push hard on how productivity gains and capital costs are shared. • Dual sourcing is always on the agenda for OEMs, so they have credible alternatives at the margin, especially when choosing between Carpenter & ATI on melt-based products.
Supplier power	• Key inputs include nickel, titanium sponge, specialty scrap, and energy. When markets are tight, commodity suppliers have some pricing power, but Carpenter can usually pass a big part of this through surcharges. • For some materials such as titanium or certain ferroalloys there are only a few qualified upstream suppliers, which raise concentration risk, partly offset by hedging and longer-term contracts. • Skilled operators and engineering talent are also critical and not easy to replace, which keeps underlying pressure on wages and retention.
Threat of new entrants	• New entrants would have to deal with very high capital requirements, complex melt and forge technology, and multi-year qualification cycles with both OEMs and MedTech customers. • Strict safety and traceability standards, together with long memories for quality issues, make customers reluctant to move meaningful volumes to an unproven producer. • In practice, any new capacity is more likely to come from existing global metals players upgrading or expanding plants rather than brand new firms.
Threat of substitutes	• In some uses, advanced composites, ceramics or cheaper stainless grades can replace premium nickel or titanium, particularly in non-rotating or lower temperature components. • In hot-section aero engine and high-temperature turbine applications, very few reliable substitutes can match the same strength, fatigue resistance, and thermal performance, limiting substitution risk in CRS’s core franchises. • Over a very long horizon, changes in propulsion technology or entirely new material systems could change the picture, but near-term engine designs are locked into superalloys.
Competitive Rivalry	• Competition comes from a small group of qualified specialty alloy producers such as ATI, and from players like Howmet in more downstream products, plus a few European and Asian mills. • Rivalry has historically intensified during down cycles, but at the moment, full order books, melt bottlenecks and a common focus on serving aero and turbine demand take some of the edge off. • Product mix, technical support and delivery performance give room for differentiation, so Carpenter does not have to compete purely on base price.

Source: Team Analysis

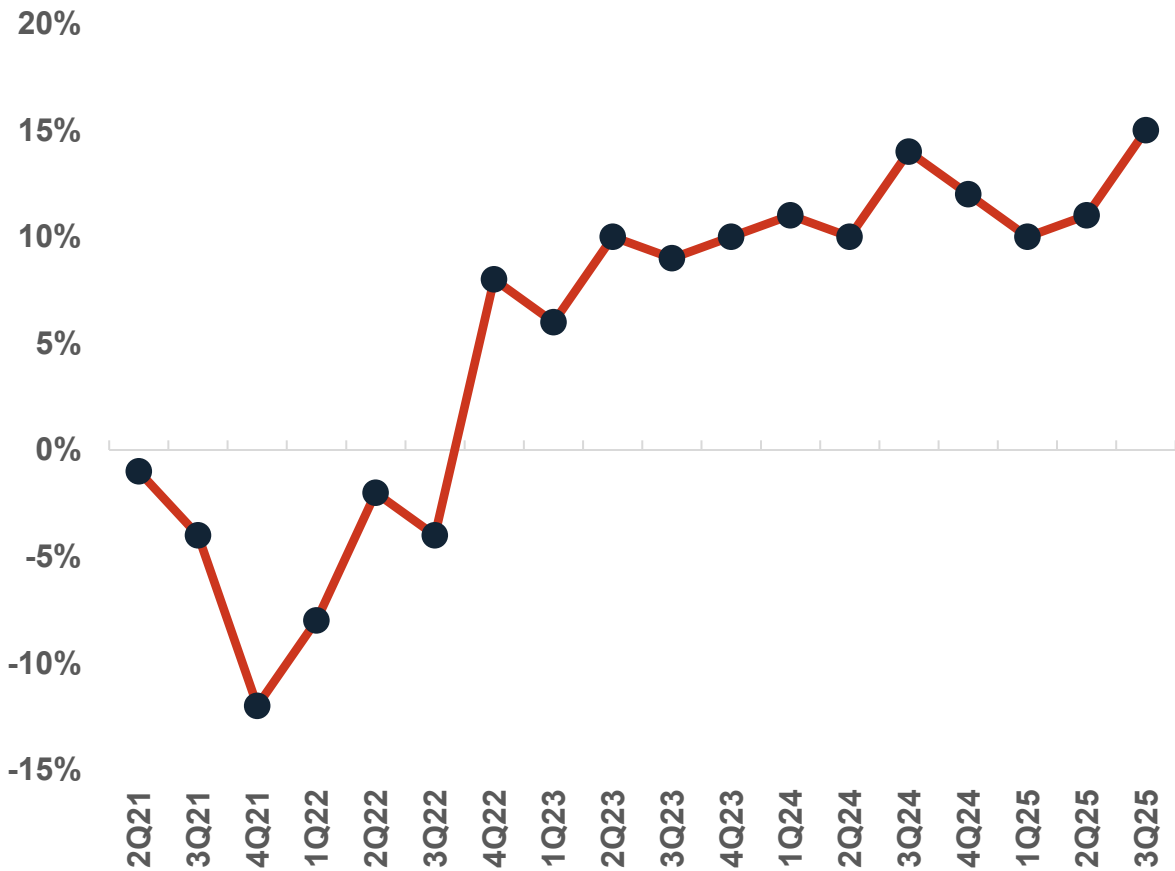
Global Defense Spending and Growth Trends

Global Defense Spending Trend ($ billion)



Source: Source: SIPRI Fact Sheet – Trends in World Military Expenditure, Team Analysis

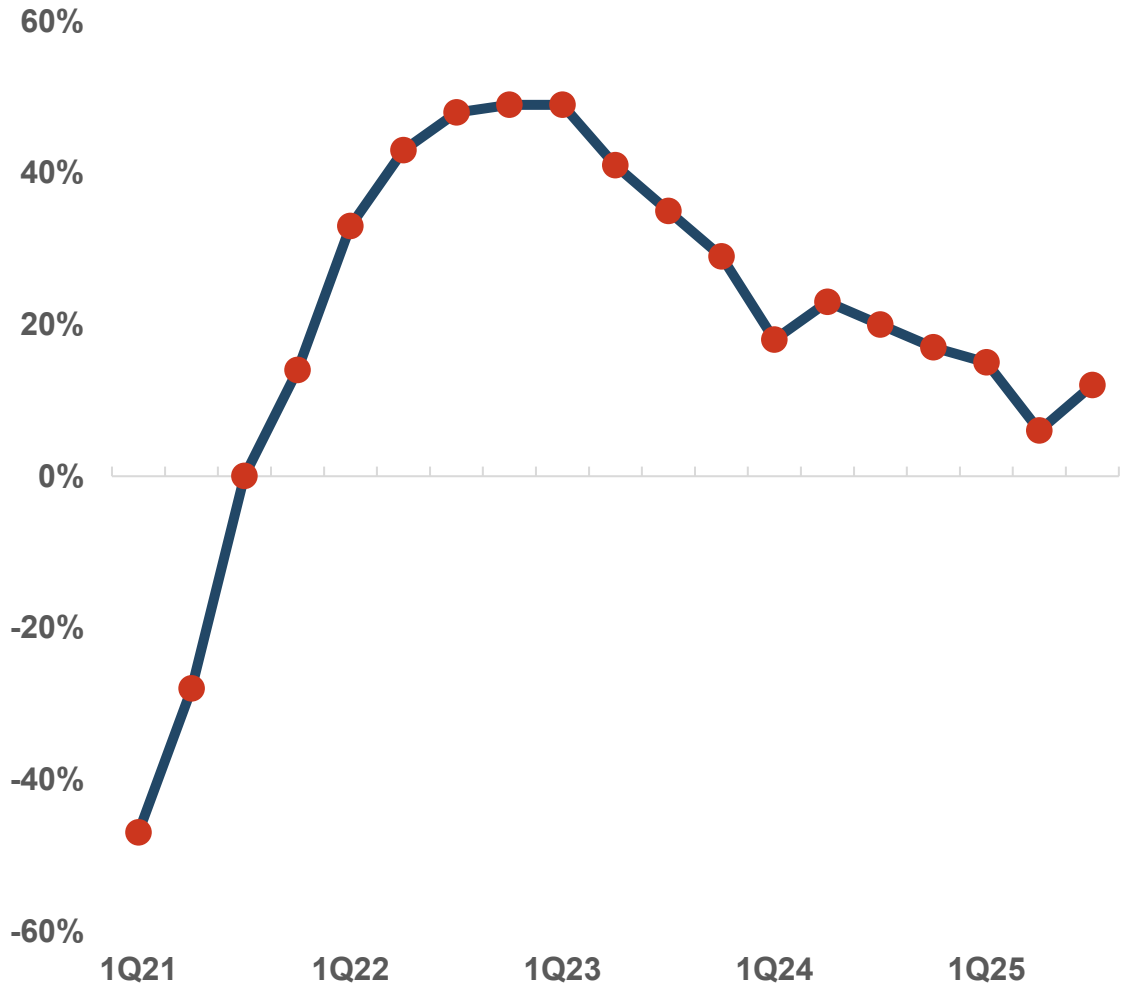
Defense end-market Growth Trends (%)



Source: Deutsche Bank Research, Team Analysis

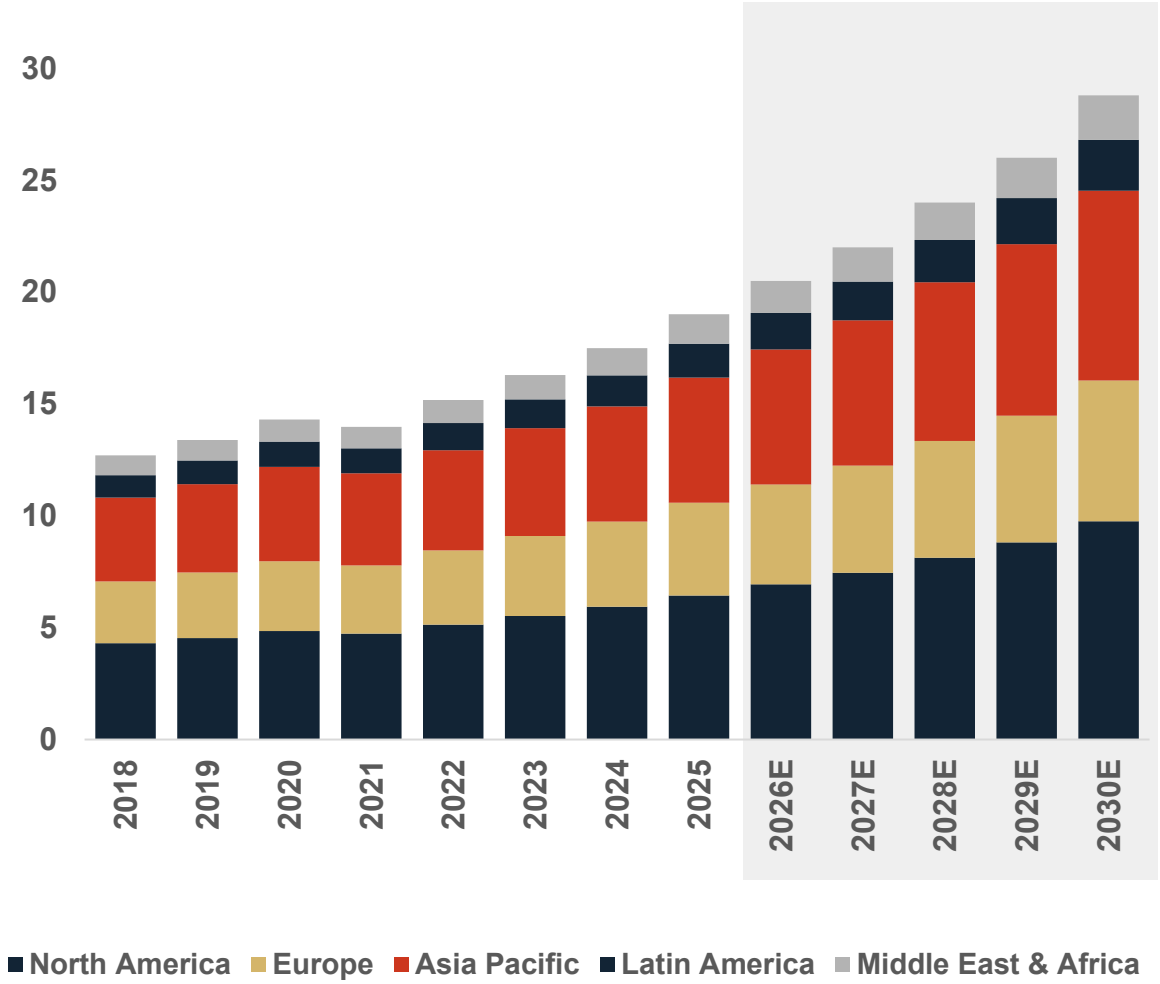
Aerospace & Medical End-Market Trends

Specialty Metals A&D Growth (%)



Source: Deutsche Bank Research, Team Analysis

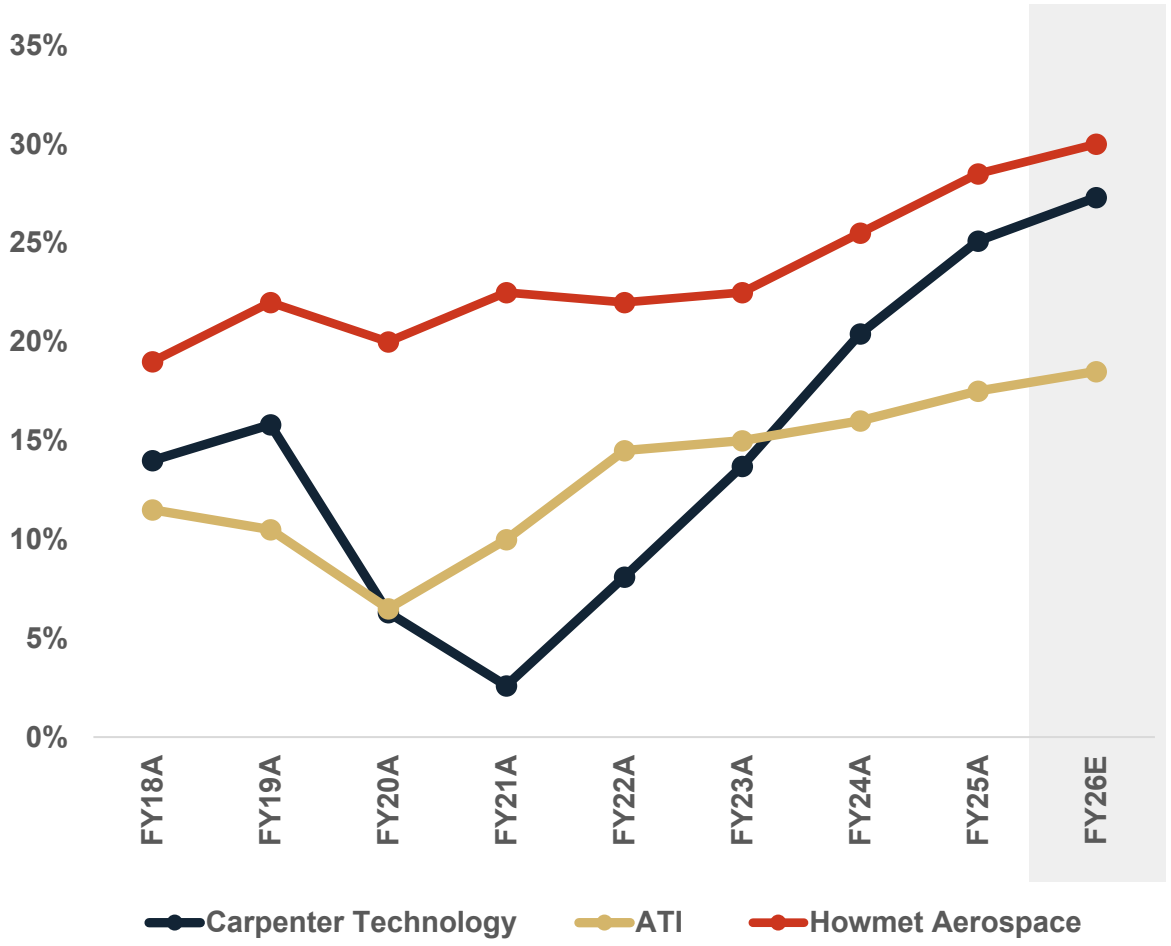
Medical Alloys Market Size by Region ($ billion)



Source: Grand View Research – Global Medical Alloys Market Size & Forecast (2025–2030), Team Analysis

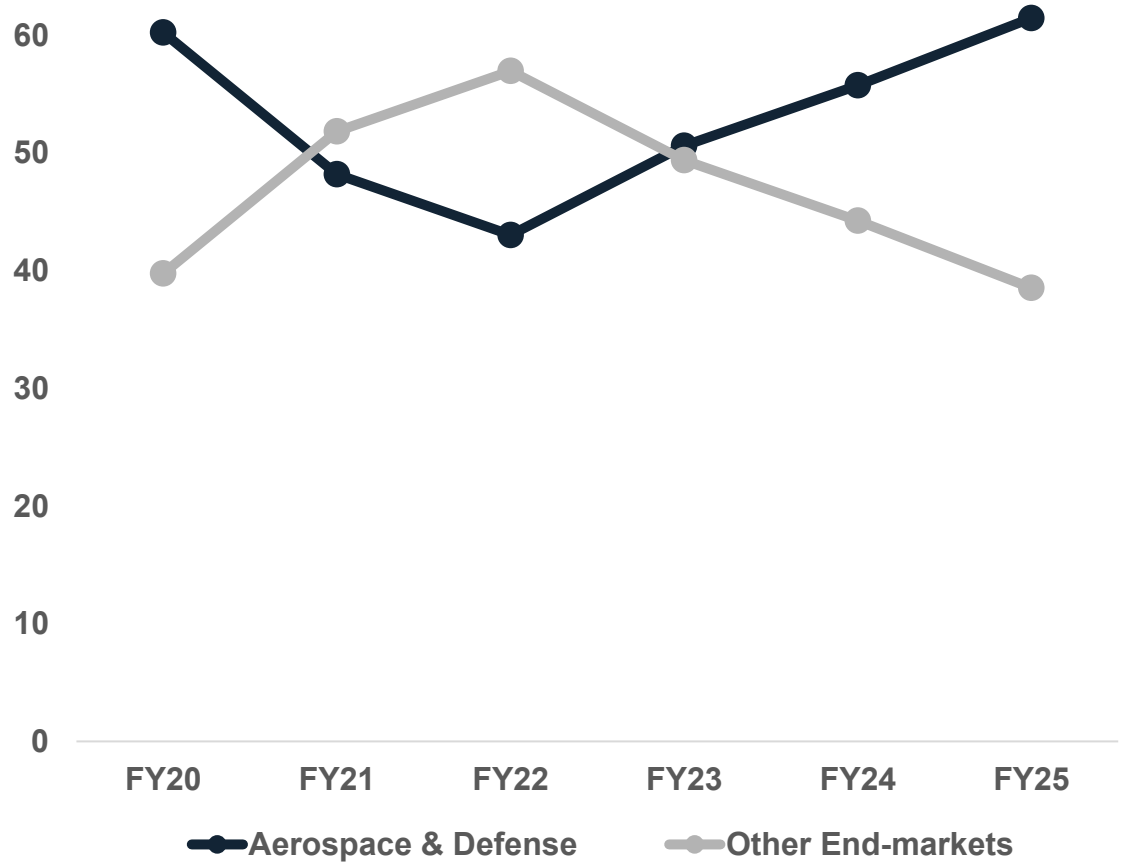
CRS Margin Performance and End-Market Mix

CRS Has Delivered Strong Margin Recovery and Closed the Gap with Peers



Source: JPM Equity Research, Team Analysis

End-Market Mix: A&D vs Other (FY20–FY25)



Source: Deutsche Bank Research, Team Analysis

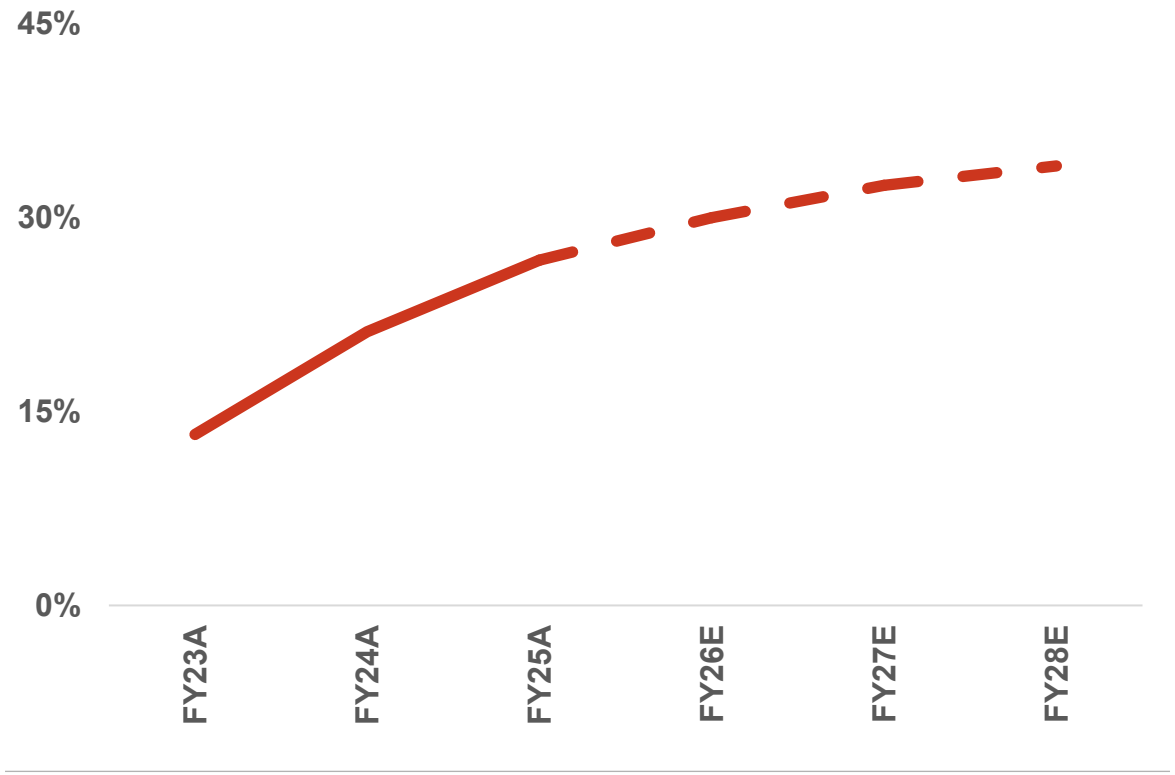
Carpenter Technology's Past Acquisitions

Company Acquisitions	Acquisition Date	Location	Sector	Acquisition Type	Acquisition Price
LPW Technology	Oct 24, 2018	United Kingdom	High Tech (3D Printing)	Business Acquisition	$81M
CalRAM	Feb 26, 2018	United States	High Tech (3D Printing)	Business Acquisition	-
Puris	Feb 02, 2017	United States	Aerospace Tech	Business Acquisition	$35M
Amega West Services	Jan 03, 2011	United States	Manufacturing Services	Business Acquisition	-
Rathbone Precision Metals	Jun 30, 1997	United States	-	Business Acquisition	-

Source: Tracxn, Team Analysis

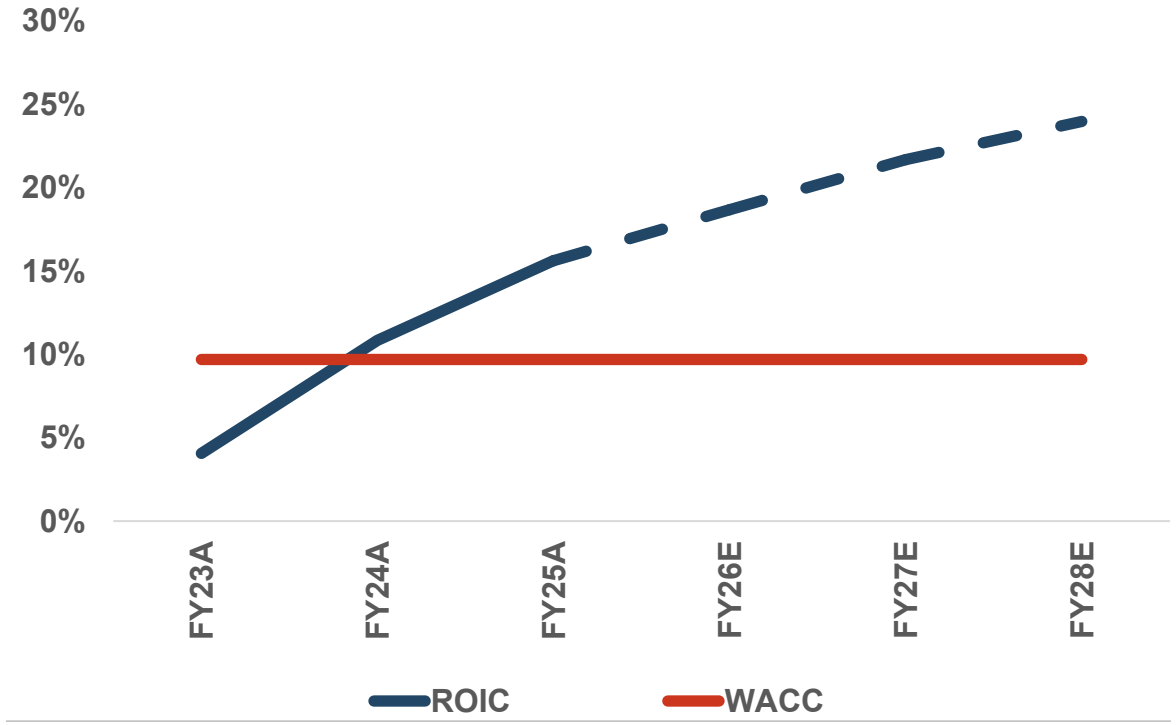
Financial Statement Analysis

Gross Margin Expansion Reflects Pricing Power and Favorable Mix



Source: Company Reports, Team Analysis

ROIC Expansion Drives Sustained Value Creation



Source: Company Reports, Team Analysis

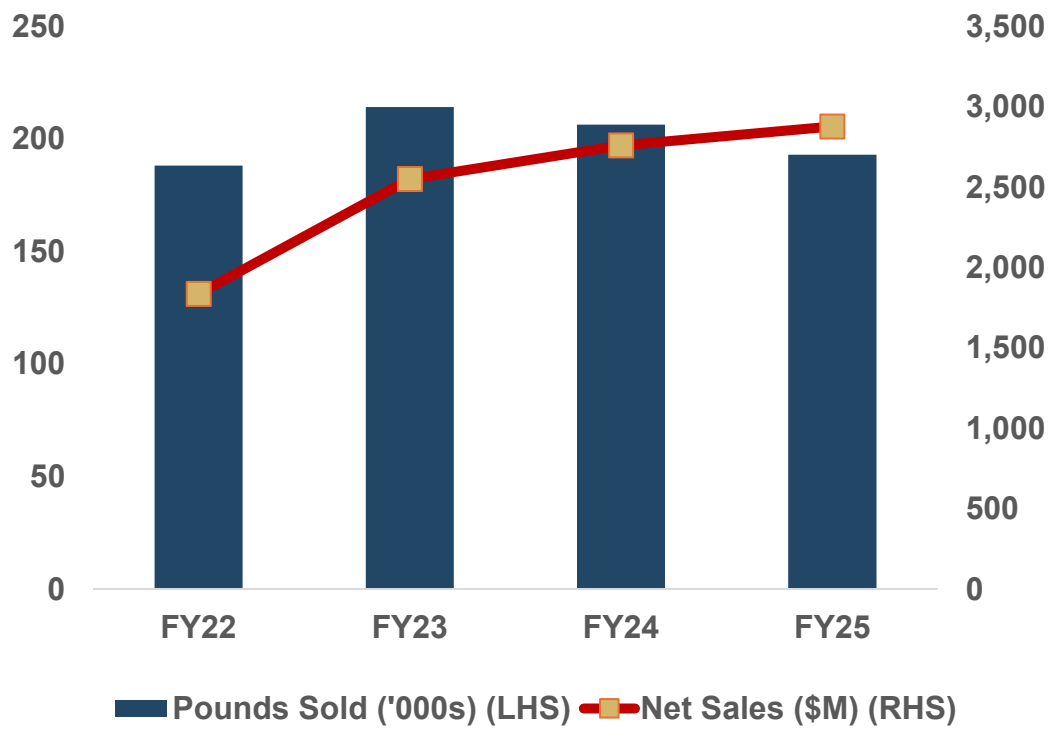
Financial Statement Analysis

	Base						Bull						Bear					
	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
DuPont ROE Decomposition																		
Profit Margin	2.2%	6.8%	13.1%	15.9%	18.1%	19.3%	2.2%	6.8%	13.1%	17.8%	19.0%	21.4%	2.2%	6.8%	13.1%	13.8%	13.9%	14.0%
Total Asset Turnover	0.8x	0.8x	0.8x	0.8x	0.8x	0.7x	0.8x	0.8x	0.8x	0.8x	0.8x	0.7x	0.8x	0.8x	0.8x	0.8x	0.8x	0.8x
Equity Multiplier	2.2x	2.0x	1.8x	1.7x	1.6x	1.5x	2.2x	2.0x	1.8x	1.7x	1.6x	1.5x	2.2x	2.0x	1.8x	1.7x	1.7x	1.6x
Return on Equity	4.0%	11.5%	19.9%	22.0%	22.6%	21.4%	4.0%	11.5%	19.9%	24.3%	23.5%	23.1%	4.0%	11.5%	19.9%	19.6%	18.6%	17.4%
Profitability																		
Gross Margin	13.2%	21.2%	26.7%	30.0%	32.5%	34.0%	13.2%	21.2%	26.7%	32.5%	33.5%	36.0%	13.2%	21.2%	26.7%	27.5%	27.5%	27.5%
EBITDA Margin	10.4%	16.6%	23.0%	26.7%	29.4%	30.9%	10.4%	16.6%	23.0%	29.1%	30.4%	33.3%	10.4%	16.6%	23.0%	24.2%	24.2%	24.2%
Return on Assets	1.8%	5.7%	10.8%	12.8%	14.0%	14.1%	1.8%	5.7%	10.8%	14.3%	14.8%	15.6%	1.8%	5.7%	10.8%	11.2%	11.1%	10.9%
Liquidity																		
Current Ratio	2.8x	3.4x	3.6x	4.1x	4.7x	5.4x	2.8x	3.4x	3.6x	4.1x	4.5x	5.4x	2.8x	3.4x	3.6x	4.1x	4.4x	4.9x
Quick Ratio	1.4x	1.8x	2.0x	2.4x	3.0x	3.8x	1.4x	1.8x	2.0x	2.5x	3.0x	3.9x	1.4x	1.8x	2.0x	2.4x	2.7x	3.2x
Solvency																		
Total Debt Ratio	0.5x	0.5x	0.5x	0.4x	0.4x	0.3x	0.5x	0.5x	0.5x	0.4x	0.4x	0.3x	0.5x	0.5x	0.5x	0.4x	0.4x	0.4x
Debt-Equity Ratio	1.2x	1.0x	0.8x	0.7x	0.6x	0.5x	1.2x	1.0x	0.8x	0.7x	0.6x	0.5x	1.2x	1.0x	0.8x	0.7x	0.7x	0.6x
Net Debt – EBITDA	6.1x	3.2x	1.9x	1.4x	0.8x	0.3x	6.1x	3.2x	1.9x	1.2x	0.8x	0.2x	6.1x	3.2x	1.9x	1.5x	1.2x	0.8x
Asset Efficiency																		
Days' Sales in Inventory	106	123	137	137	135	133	106	123	137	135	130	125	106	123	137	138	140	141
Days' Sales in Receivables	76	74	73	74	74	74	76	74	73	72	71	70	76	74	73	74	75	76
Days' Costs in Payables	46	44	46	45	45	46	46	44	46	46	46	46	46	44	46	45	45	44
Capital Intensity Ratio	1.2x	1.2x	1.2x	1.2x	1.3x	1.4x	1.2x	1.2x	1.2x	1.2x	1.3x	1.4x	1.2x	1.2x	1.2x	1.2x	1.2x	1.3x

Source: Company Reports, Team Analysis

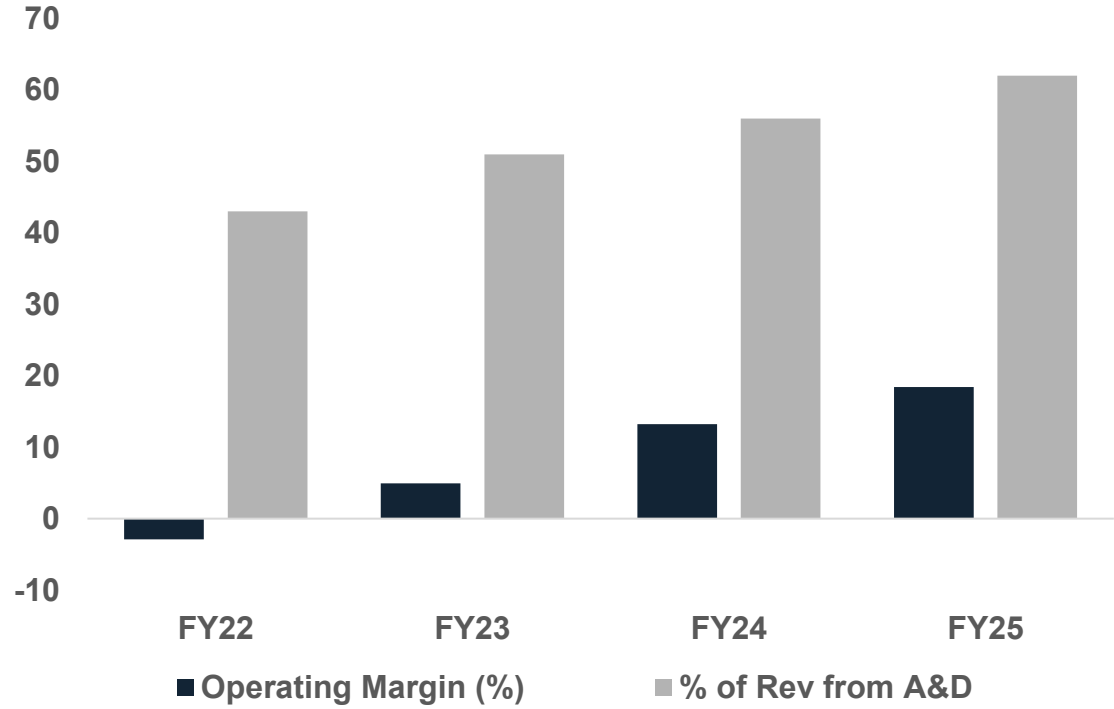
Investment Summary

Net Sales Increasing as Total Pounds Sold Decreases



Source: Company 10-K filings, Team Analysis

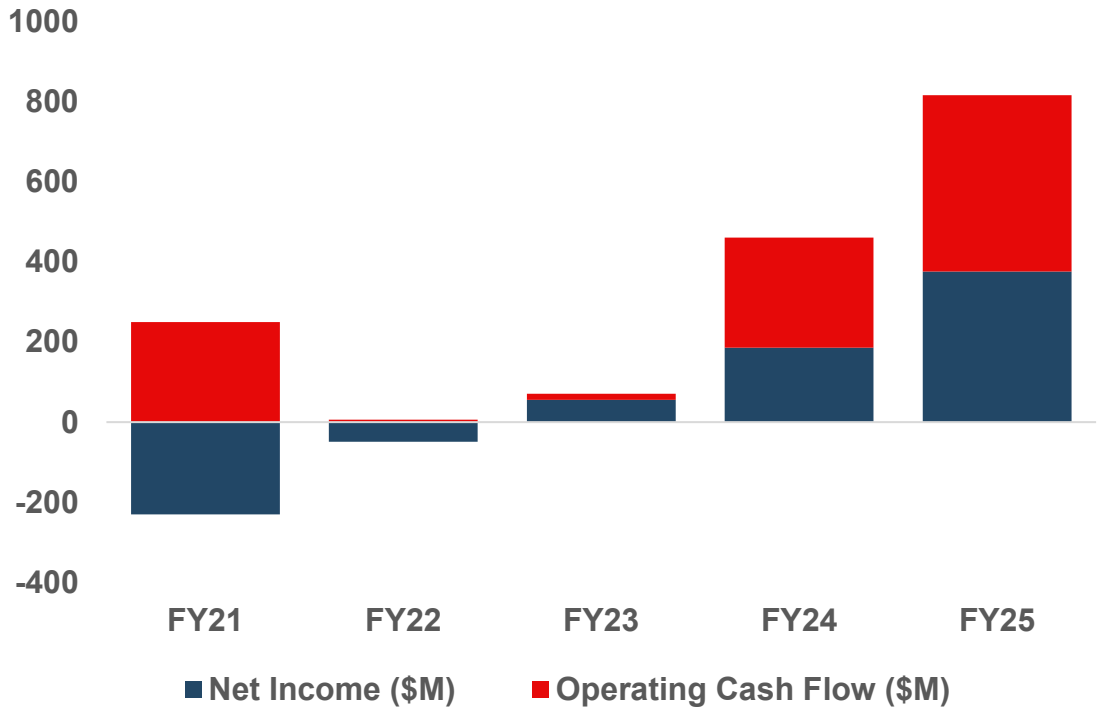
Operating Margin increases with % of Revenue from A&D



Source: Company 10-K filings, Team Analysis

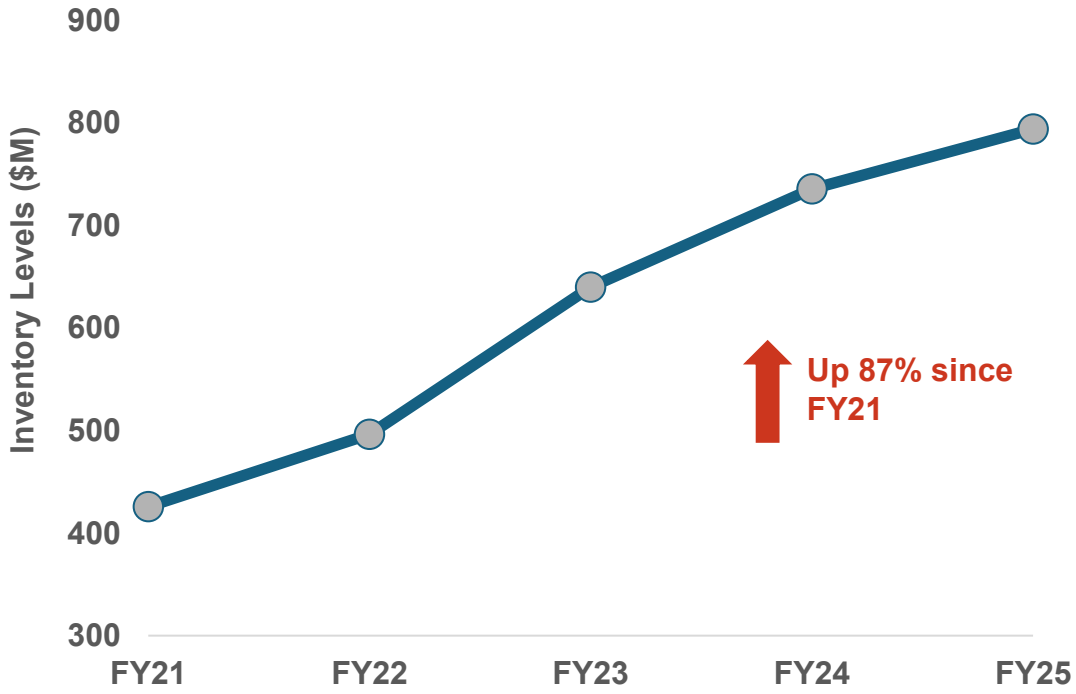
Investment Summary

Operating Cash Flow Consistently Higher than Net Income



Source: Company 10-K filings, Team Analysis

Inventory Levels



Source: Company 10-K filings, Team Analysis

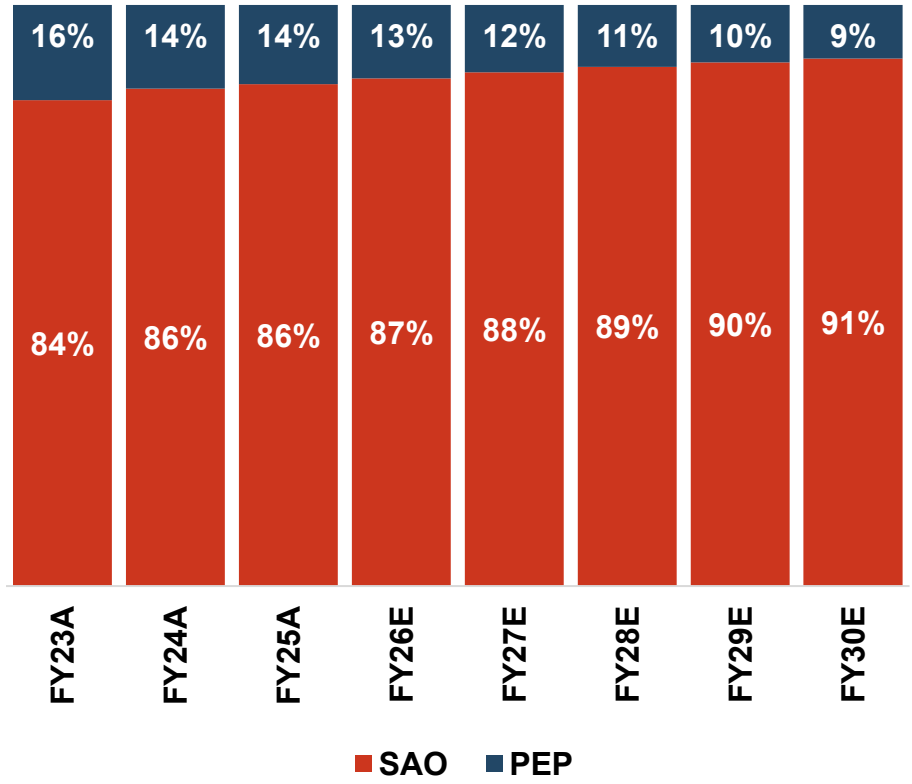
Income Statement and Revenue Trends

Income Statement

Particulars (in $M)	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
Specialty Alloys Operations	2,214	2,444	2,564	2,782	3,032	3,290	3,553	3,801
Performance Engineered Products	434	411	405	401	397	393	389	386
Intersegment	(97)	(95)	(92)	(90)	(88)	(86)	(86)	(85)
Total Revenue	**2,550**	**2,760**	**2,877**	**3,093**	**3,341**	**3,596**	**3,857**	**4,102**
Net Revenue Ex-Surcharges	**1,848**	**2,168**	**2,346**	**2,475**	**2,673**	**2,877**	**3,085**	**3,282**
Surcharges (Calculated)	702	592	531	619	668	719	771	820
Less: Cost of Goods Sold	(2,213)	(2,175)	(2,109)	(2,165)	(2,255)	(2,374)	(2,507)	(2,666)
Gross Profit	**337**	**584**	**769**	**928**	**1,086**	**1,223**	**1,350**	**1,436**
Gross Margin %	*13.2%*	*21.2%*	*26.7%*	*30.0%*	*32.5%*	*34.0%*	*35.0%*	*35.0%*
Less: Restructuring and Impairments	0	(31)	(4)	0	0	0	0	0
Less: SG&A	(204)	(230)	(243)	(252)	(267)	(288)	(309)	(328)
Operating Income	**133**	**323**	**522**	**676**	**819**	**935**	**1,041**	**1,108**
Adj. Operating Income	**133**	**354**	**525**	**676**	**819**	**935**	**1,041**	**1,108**
Operating Margin %	*5.2%*	*11.7%*	*18.1%*	*21.8%*	*24.5%*	*26.0%*	*27.0%*	*27.0%*
Adj. Operating Margin (Ex-Surcharges & special items) %	*7.2%*	*16.3%*	*22.4%*	*27.3%*	*30.6%*	*32.5%*	*33.8%*	*33.8%*
Less: Other Expenses	(7)	(61)	(6)	(6)	(6)	(6)	(6)	(6)
Less: Interest Expense	(54)	(51)	(48)	(48)	(48)	(48)	(48)	(48)
Pretax Income	**72**	**212**	**467**	**621**	**764**	**881**	**987**	**1,053**
Less: Income Tax Expense	(16)	(25)	(91)	(130)	(160)	(185)	(207)	(221)
Net Income	**56**	**187**	**376**	**491**	**604**	**696**	**780**	**832**
Net Margin (Ex-Surcharges) %	*3.1%*	*8.6%*	*16.0%*	*19.8%*	*22.6%*	*24.2%*	*25.3%*	*25.4%*

Source: Company Reports, FactSet, Team Analysis

The SAO segment is expected to outpace the PEP segment, growing at ~8.2% CAGR



Source: Company Reports, FactSet, Team Analysis

EBITDA Forecast and Operating Statistics

EBIT and EBITDA Forecast

Particulars (in $M)	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
EBIT	**133**	**323**	**522**	**676**	**819**	**935**	**1,041**	**1,108**
Plus: Depreciation & Amortization	131	135	139	152	164	176	189	201
EBITDA	**264**	**458**	**661**	**827**	**982**	**1,111**	**1,230**	**1,309**
EBITDA Margin (Ex-Surcharges) %	*14.3%*	*21.1%*	*28.2%*	*33.4%*	*36.8%*	*38.6%*	*39.9%*	*39.9%*

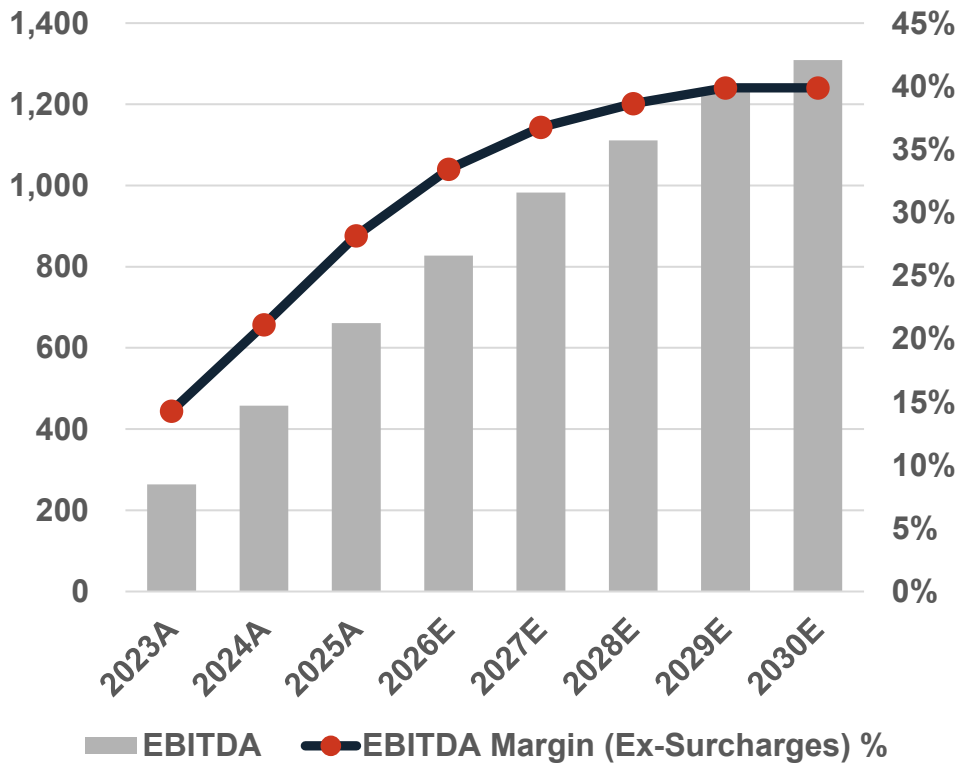
Source: Company Reports, Team Analysis

Operating Statistics

Particulars (%)	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
Specialty Alloys Operations % Growth	-	*10.4%*	*4.9%*	*8.5%*	*9.0%*	*8.5%*	*8.0%*	*7.0%*
Performance Engineered Products % Growth	-	*-5.2%*	*-1.4%*	*-1.0%*	*-1.0%*	*-1.0%*	*-1.0%*	*-1.0%*
Intersegment % Growth	-	*-2.0%*	*-3.4%*	*-2.5%*	*-2.0%*	*-1.5%*	*-1.0%*	*-1.0%*
Revenue % Growth	-	*8.2%*	*4.3%*	*7.5%*	*8.0%*	*7.6%*	*7.2%*	*6.4%*
Net Revenue (Ex-Surcharges) % of Revenue	*72.5%*	*78.5%*	*81.5%*	*80.0%*	*80.0%*	*80.0%*	*80.0%*	*80.0%*
Surcharges % of Revenue	*27.5%*	*21.5%*	*18.5%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*
COGS % of Revenue	*86.8%*	*78.8%*	*73.3%*	*70.0%*	*67.5%*	*66.0%*	*65.0%*	*65.0%*
SG&A % of Revenue (Ex-Surcharges)	*11.0%*	*10.6%*	*10.4%*	*10.2%*	*10.0%*	*10.0%*	*10.0%*	*10.0%*
Effective Tax % Rate	*22.2%*	*11.9%*	*19.5%*	*21.0%*	*21.0%*	*21.0%*	*21.0%*	*21.0%*

Source: Company Reports, FactSet, Team Analysis

EBITDA margins are expected to expand and stabilize at ~40%



Source: Company Reports, FactSet, Team Analysis

Sales in Europe shall continue to expand

Geographic Revenue Mix

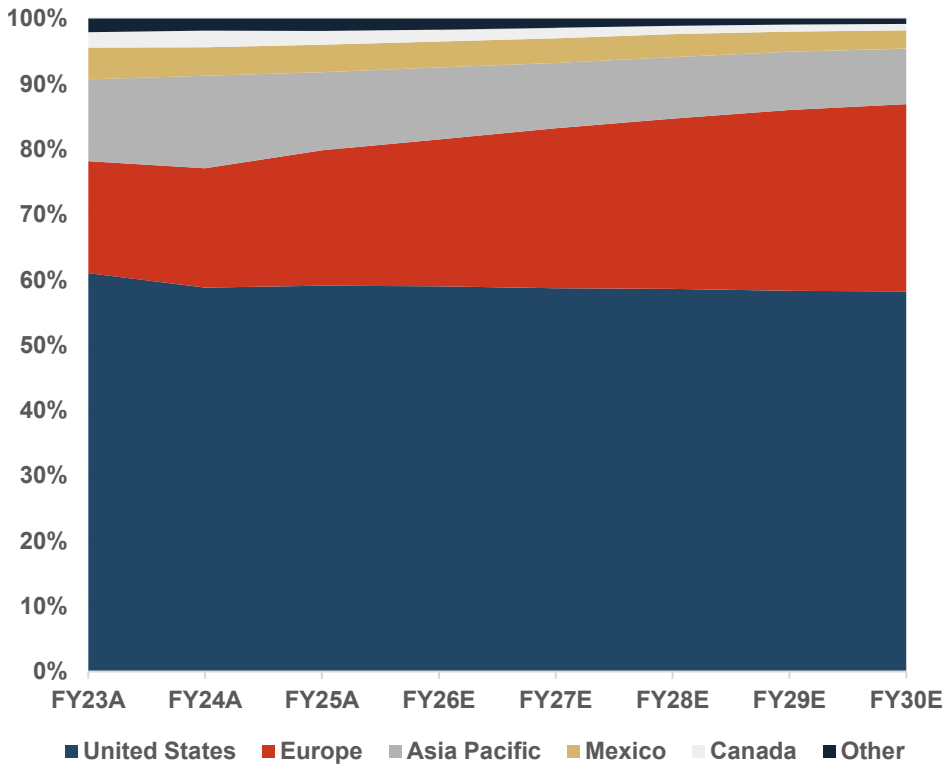
Revenue Mix by Geography ($M)	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
United States	1,556	1,623	1,700	1,825	1,961	2,107	2,248	2,387
Europe	437	504	596	696	819	939	1,068	1,177
Asia Pacific	320	391	344	340	334	338	343	349
Mexico	124	120	122	124	127	126	120	115
Canada	60	70	61	56	53	47	42	41
Other	53	51	54	53	47	40	35	33
Total	**2,550**	**2,760**	**2,877**	**3,093**	**3,341**	**3,596**	**3,857**	**4,102**

Revenue Mix by Geography (%)	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
United States	61.0%	58.8%	59.1%	59.0%	58.7%	58.6%	58.3%	58.2%
Europe	17.1%	18.3%	20.7%	22.5%	24.5%	26.1%	27.7%	28.7%
Asia Pacific	12.5%	14.2%	12.0%	11.0%	10.0%	9.4%	8.9%	8.5%
Mexico	4.9%	4.4%	4.2%	4.0%	3.8%	3.5%	3.1%	2.8%
Canada	2.4%	2.5%	2.1%	1.8%	1.6%	1.3%	1.1%	1.0%
Other	2.1%	1.9%	1.9%	1.7%	1.4%	1.1%	0.9%	0.8%
Total	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**	**100.0%**

Revenue Growth by Geography (%)	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
United States	31.9%	4.3%	4.7%	7.4%	7.5%	7.4%	6.7%	6.2%
Europe	72.5%	15.2%	18.3%	16.7%	17.6%	14.7%	13.8%	10.2%
Asia Pacific	36.6%	22.5%	-12.0%	-1.2%	-1.8%	1.2%	1.5%	1.6%
Mexico	38.7%	-3.1%	1.2%	1.8%	2.6%	-0.9%	-5.0%	-3.9%
Canada	44.8%	16.6%	-12.7%	-9.0%	-4.0%	-12.5%	-9.3%	-3.3%
Other	39.6%	-3.4%	4.9%	-2.4%	-11.0%	-15.4%	-12.3%	-5.4%

Source: Company Reports, FactSet, Team Analysis

Revenue Mix by Geography (%)



Source: Company Reports, FactSet, Team Analysis

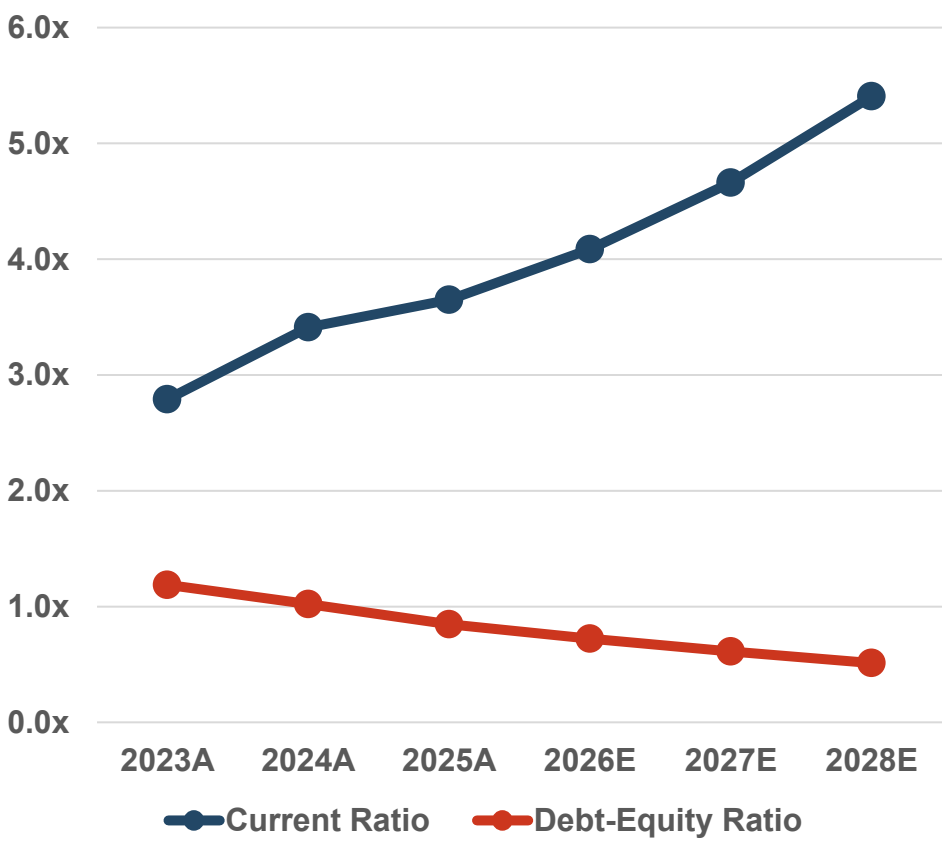
Balance Sheet Health

Balance Sheet

Particulars (in $M)	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Current Assets						
Cash	45	199	316	487	806	1,293
Accounts Receivable	531	563	576	631	677	727
Inventory	640	735	794	813	834	865
Prepaid Expenses	66	94	80	85	91	98
Total Current Assets	**1,282**	**1,591**	**1,765**	**2,015**	**2,409**	**2,983**
Fixed Assets						
PP&E, Net	1,384	1,335	1,359	1,472	1,559	1,617
Goodwill	241	227	227	227	227	227
Other Non-Current Assets	147	138	135	122	111	99
TOTAL ASSETS	**3,054**	**3,292**	**3,487**	**3,837**	**4,306**	**4,926**
Current Liabilities						
Accounts Payable	278	264	267	270	280	297
Accrued Liabilities	181	202	216	223	237	255
Total Current Liabilities	**459**	**466**	**484**	**493**	**517**	**552**
Long Term Liabilities						
Long Term Debt	693	694	695	695	695	695
Other Long-Term Liabilities	505	502	421	421	421	421
TOTAL LIABILITIES	**1,658**	**1,663**	**1,600**	**1,609**	**1,633**	**1,668**
Common Stock	281	285	286	286	286	286
Additional Paid In Capital	328	353	354	354	354	354
Retained Earnings	1,228	1,375	1,710	2,161	2,724	3,379
Treasury Stock	(298)	(289)	(396)	(505)	(624)	(694)
Other Comprehensive Loss	(143)	(94)	(68)	(68)	(68)	(68)
TOTAL EQUITY	**1,396**	**1,629**	**1,887**	**2,228**	**2,673**	**3,258**
TOTAL LIABILITIES & EQUITY	**3,054**	**3,292**	**3,487**	**3,837**	**4,306**	**4,926**

Source: Company Reports, FactSet, Team Analysis

CRS's liquidity and solvency shall continue to improve ahead



Source: Company Reports, FactSet, Team Analysis

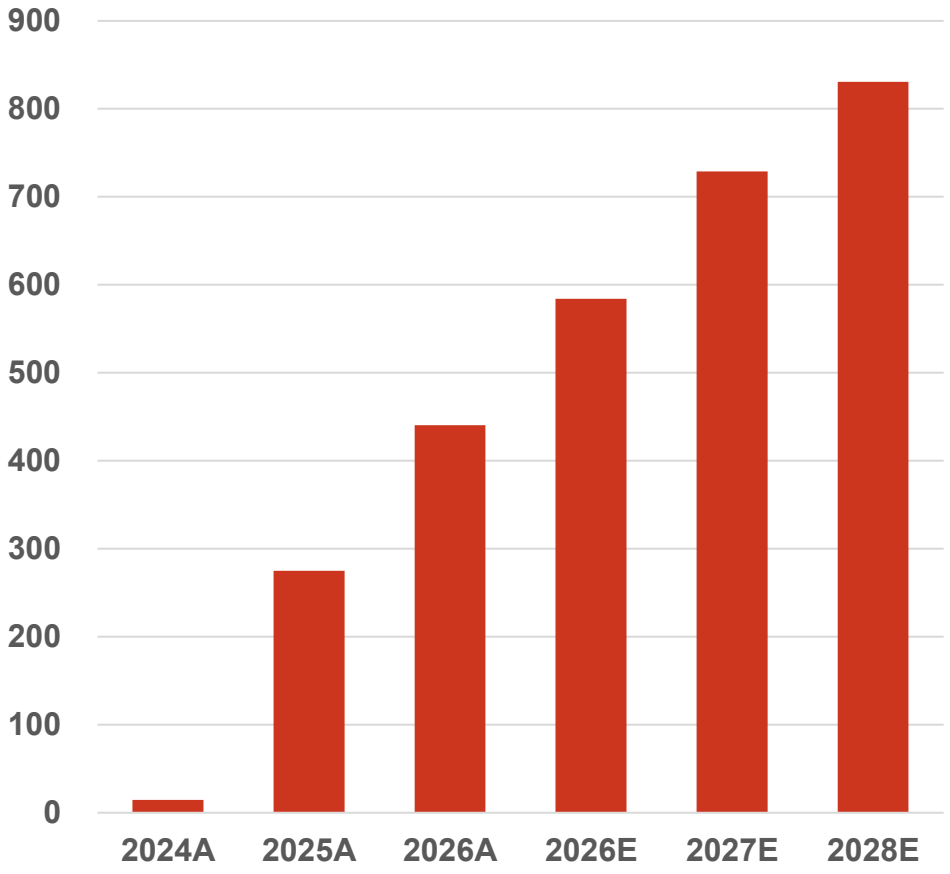
Cash Flow Analysis

Cash Flow Statement

Particulars (in $M)	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Cash Flow from Operating Activities						
Net Income	56	187	376	491	604	696
Depreciation	131	135	139	152	164	176
Other Non-Cash Items	38	117	35	35	35	35
Changes in Working Capital and Other	(211)	(163)	(110)	(93)	(73)	(76)
Net Operating Cash Flow (i)	**15**	**275**	**440**	**584**	**729**	**831**
Cash Flow from Investing Activities						
Capital Expenditures	(82)	(97)	(154)	(263)	(251)	(234)
Proceeds from Disposals	0	1	1	0	0	0
Net Investing Cash Flow (ii)	**(82)**	**(96)**	**(153)**	**(263)**	**(251)**	**(234)**
Cash Flow from Financing Activities						
Net Debt Activity	(2)	0	0	0	0	0
Stock Options and Other (Net)	1	17	(25)	0	0	0
Purchase of Treasury Stock	0	0	(102)	(110)	(118)	(70)
Cash Dividends Paid	(39)	(40)	(40)	(40)	(40)	(40)
Net Financing Cash Flow (iii)	**(40)**	**(23)**	**(167)**	**(150)**	**(159)**	**(111)**
Effect of Exchange Rate Changes	(2)	(1)	(4)	0	0	0
Beginning Cash Balance	154	45	199	316	487	806
Net Cash Flow (i + ii + iii)	(108)	156	120	171	320	486
Ending Cash Balance	**45**	**199**	**316**	**487**	**806**	**1,293**

Source: Company Reports, FactSet, Team Analysis

Higher profitability shall continue driving operating cash flows ($M)



Source: Company Reports, FactSet, Team Analysis

PP&E Schedule and Capex Forecast

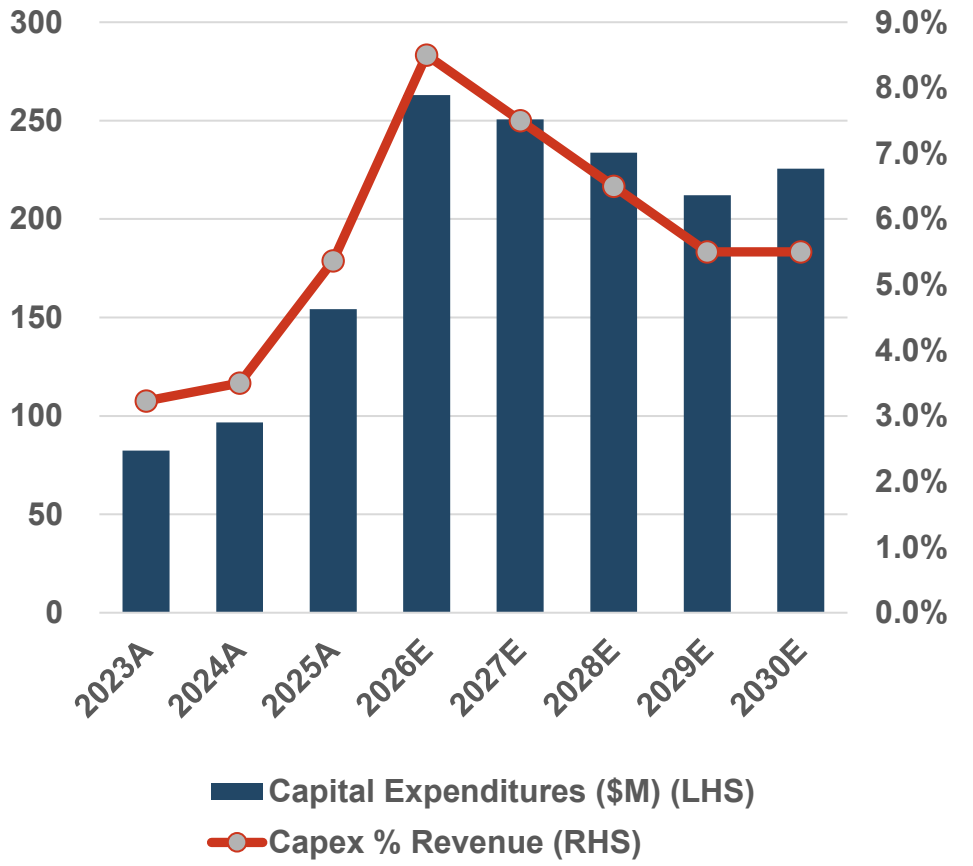
We expect CRS to front-load capex spending in the near term, peaking at $263M (~8.5% of FY26 revenue)

Property, Plant, and Equipment (PP&E) Schedule

Particulars (in $M)	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
Beg: PP&E, Net of Accum. Depreciation	-	1,384	1,346	1,361	1,472	1,559	1,617	1,640
Plus: Capital Expenditures	82	97	154	263	251	234	212	226
Capex % Revenue	*3.2%*	*3.5%*	*5.4%*	*8.5%*	*7.5%*	*6.5%*	*5.5%*	*5.5%*
Less: Depreciation	(131)	(135)	(139)	(152)	(164)	(176)	(189)	(201)
Depreciation % Revenue	*5.1%*	*4.9%*	*4.8%*	*4.9%*	*4.9%*	*4.9%*	*4.9%*	*4.9%*
End: PP&E, Net of Accum. Depreciation	**1,384**	**1,346**	**1,361**	**1,472**	**1,559**	**1,617**	**1,640**	**1,664**

Source: Company Reports, FactSet, Team Analysis

Capex Forecast



Source: Company Reports, FactSet, Team Analysis

Net Working Capital Analysis

Net Operating Working Capital (NOWC) Schedule

Particulars (in $M)	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
Operating Current Assets								
Accounts Receivable	531	563	576	631	677	727	783	831
Inventory	640	735	794	813	834	865	893	950
Prepaid Expenses	66	94	80	85	91	98	105	112
Operating Current Liabilities								
Accounts Payable	278	264	267	270	280	297	313	333
Accrued Liabiltiies	181	202	216	223	237	255	273	290
Net Operating Working Capital	778	926	966	1,035	1,085	1,138	1,195	1,270
Change in Net Operating Working Capital	**-**	**148**	**40**	**70**	**50**	**53**	**57**	**75**
Operating Assumptions								
Days Sales Outstanding	76	74	73	74	74	74	74	74
Days Inventory Outstanding	106	123	137	137	135	133	130	130
Prepaid Expenses % of SG&A	*32.5%*	*40.9%*	*32.9%*	*33.5%*	*34.0%*	*34.0%*	*34.0%*	*34.0%*
Days Payable Outstanding	46	44	46	45	45	46	46	46
Accrued Expenses % of SG&A	*88.8%*	*87.9%*	*88.9%*	*88.5%*	*88.5%*	*88.5%*	*88.5%*	*88.5%*
Cash Conversion Cycle	**136**	**154**	**164**	**166**	**164**	**161**	**159**	**158**

Source: Company Reports, FactSet, Team Analysis

We do not anticipate material changes in receivable, inventory, or payable days; however, the cash conversion cycle shall improve modestly over time, reflecting better working capital management and cash flow from growing profitability.

Free Cash Flow Forecast and DCF Valuation

Unlevered Free Cash Flow Forecast

Particulars (in $M)	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
Operating Income	**133**	**323**	**522**	**676**	**819**	**935**	**1,041**	**1,108**
Less: Unlevered Tax Expense	(27)	(30)	(101)	(142)	(172)	(196)	(219)	(233)
Net Operating Profit After Tax	**106**	**293**	**421**	**534**	**647**	**739**	**823**	**875**
NOPAT % Margin	*4.2%*	*10.6%*	*14.6%*	*17.3%*	*19.4%*	*20.5%*	*21.3%*	*21.3%*
Plus: Non-Cash Expense	131	135	139	152	164	176	189	201
Less: Change in Net Working Capital	0	(148)	(40)	(70)	(50)	(53)	(57)	(75)
Less: Capital Expenditures	(82)	(97)	(154)	(263)	(251)	(234)	(212)	(226)
Unlevered Free Cash Flow	**155**	**183**	**366**	**352**	**510**	**628**	**743**	**776**
FCF % Margin	*6.1%*	*6.6%*	*12.7%*	*11.4%*	*15.3%*	*17.5%*	*19.3%*	*18.9%*
Discount Period	-	-	-	0.5	1.5	2.5	3.5	4.5
Discount Factor	-	-	-	0.96	0.87	0.80	0.73	0.67
Present Value of Free Cash Flow	**-**	**-**	**-**	**337**	**445**	**501**	**542**	**517**

Source: Company Reports, FactSet, Team Analysis

DCF Valuation (31 December 2025)

Particulars (in $M)	
NPV of Unlevered FCFs (i)	2,342
FY30E EBITDA	1,309
Exit Multiple (times)	18.5x
Terminal Value	24,209
PV of Terminal Value (ii)	16,126
Enterprise Value (i + ii)	**18,468**
Plus: Cash & Equivalents	316
Less: Total Debt	(696)
Less: Non-Controlling Interest	0
Equity Value	**18,087**
Fully Diluted Shares Outstanding	50.65
Share Price ($)	**357.10**

Source: Company Reports, FactSet, Team Analysis

We estimated the terminal value using the exit multiple approach rather than a perpetual growth model. Given CRS's above trend growth profile and exposure to structurally attractive A&D markets, applying a low terminal growth rate would understate the company's long-term earnings potential. Conversely, assuming a higher perpetual growth rate (i.e., above ~4%) would be unreasonable, as it would exceed the long-term U.S. nominal GDP growth. As a result, we view an exit multiple as a more appropriate method for capturing CRS's growth potential and margin profile beyond the explicit forecast period. We apply an 18.5x EV/EBITDA multiple to FY30 EBITDA, as we believe CRS can sustain elevated growth and returns over the medium to long term.

WACC Breakdown

Pre-tax cost of debt calculation (YTM of CRS's bonds)

Bonds	Amt. ($M)	% Debt	% Capital	Term	Coupon	YTM	Price	Par
Carpenter Technology Corp. 5.625%	696	*100.00%*	*4.01%*	9 years	*5.63%*	*5.40%*	101.57	100

Source: Company Reports, FactSet, Team Analysis

Beta calculation

Comparable Company	3 Year Adj. Beta	Debt Value	Equity Value	Debt/ Equity	Marginal Tax Rate	Weights	Unlevered Beta
ATI INC. (ATI)	1.45	1,907	15,847	*12.03%*	*21.00%*	*37.5%*	1.32
Howmet Aerospace (HWM)	1.17	3,352	85,306	*3.93%*	*21.00%*	*27.5%*	1.13
Materion Corporation (MTRN)	1.25	532	2,653	*20.04%*	*21.00%*	*15.0%*	1.08
Kaiser Aluminium (KALU)	1.61	1,073	1,894	*56.68%*	*21.00%*	*10.0%*	1.11
Metallus Inc. (MTUS)	1.30	16	745	*2.11%*	*21.00%*	*10.0%*	1.28
Mean							**1.19**
Median							**1.13**
Weighted Average							**1.21**

Imputed Levered Beta	Industry Beta	Target Debt/Equity	Tax Rate	Levered Beta
Levered Beta	**1.21**	*4.34%*	*21.00%*	**1.25**

Source: Company Reports, FactSet, Team Analysis

WACC Calculation

Debt-to-Total Capitalization	4.01%
Equity-to-Total Capitalization	95.99%
Pre-Tax Cost of Debt	5.40%
Marginal Tax Rate	21.00%
Post-Tax Cost of Debt	**4.27%**
Equity Beta	1.35
Risk-Free Rate	4.10%
Market Risk Premium	4.46%
Cost of Equity	**9.67%**
WACC	**9.45%**

Source: Company Reports, FactSet, Team Analysis

For the cost of debt, we use the after-tax YTM of existing debt, calculated at 4.27%. We employed CAPM for the cost of equity, with equity beta derived from a weighted average of unlevered industry betas, reflecting CRS's exposure to specialty metals and aerospace markets. This is re-levered using CRS's existing capital structure, which we expect to remain broadly stable through FY30. The 10Y treasury yield as the risk-free rate, and the equity risk premium is sourced from FactSet consensus estimates. Combining these inputs results in a WACC of 9.45%.

Sensitivity and Regression Analysis

We conducted sensitivity analysis to stress test our assumptions in the DCF model. The regression analysis is performed to assess the sensitivity of 5Y returns of CRS over S&P 500.

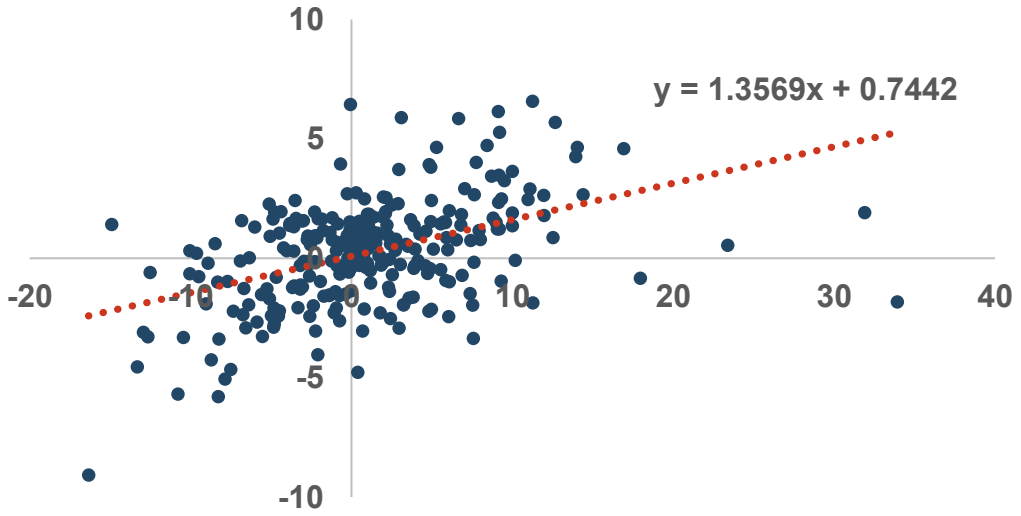
Sensitivity Analysis

EV/EBITDA Exit Multiple

WACC	16.5x	17.5x	18.5x	19.5x	20.5x
8.45%	$ 335.81	$ 353.74	$ 371.68	$ 389.61	$ 407.55
8.95%	$ 329.16	$ 346.73	$ 364.29	$ 381.86	$ 399.43
9.45%	$ 322.67	$ 339.88	$ 357.10	$ 374.30	$ 391.51
9.95%	$ 316.35	$ 333.21	$ 350.06	$ 366.92	$ 383.78
10.45%	$ 310.17	$ 326.69	$ 343.21	$ 359.73	$ 376.25

Source: Team Analysis

Regression Analysis



Regression of 5-year weekly returns of CRS over S&P 500 (%)
Results: α = 0.74, β = 1.36

Source: FactSet, Team Analysis

Relative (Comps) Valuation

Our comps analysis used weighted average instead of median, given the limited number of closely related peers

Comps Analysis

Trading Comparables	Market Data (in $M)			LTM Financial Data (in $M)			Weight	Valuation Multiples		
	Net Debt	Market Cap (Fully Diluted)	EV	Sales	EBITDA	Net Income		EV/ Sales	EV/ EBITDA	P/E
Carpenter Technology Corp. (CRS)	**380**	**18,722**	**19,102**	**3,944**	**744**	**435**		**4.8x**	**25.7x**	**43.1x**
ATI INC. (ATI)	1,535	19,097	20,632	4,587	812	404	*37.5%*	4.5x	25.4x	47.2x
Howmet Aerospace (HWM)	2,688	93,321	96,009	7,975	2,293	1,450	*27.5%*	12.0x	41.9x	64.4x
Materion Corporation (MTRN)	515	3,387	3,902	1,734	211	19	*15.0%*	2.3x	18.5x	174.6x
Kaiser Aluminium (KALU)	1,056	2,383	3,439	3,209	273	91	*10.0%*	1.1x	12.6x	26.1x
Metallus Inc. (MTUS)	(177)	966	789	1,132	64	(8)	*10.0%*	0.7x	12.4x	N/A
Mean								**4.1x**	**22.2x**	**78.1x**
Weighted Average								**5.5x**	**26.3x**	**64.2x**
Median								**2.3x**	**18.5x**	**55.8x**
High								**12.0x**	**41.9x**	**174.6x**
Low								**0.7x**	**12.4x**	**26.1x**

Source: Company Reports, FactSet, Team Analysis

Peer Group

CARPENTER TECHNOLOGY · ATI · HOWMET AEROSPACE · MATERION · KAISER ALUMINUM · M

Implied Valuation

Particulars	Driver ($M)	Multiple	Implied EV ($M)	Weight
EV/Sales	3,944	5.5x	21,739.52	*0.00%*
EV/EBITDA	744	26.3x	19,589.76	*75.00%*
P/E	435	49.2x	21,769.49	*25.00%*
Implied Enterprise Value	**20,135**			
Implied Market Capitalization	**19,754**	**Net Debt ($M)**		**380**
Implied Share Price	**390.02**	**Diluted Shares**		**50.65**

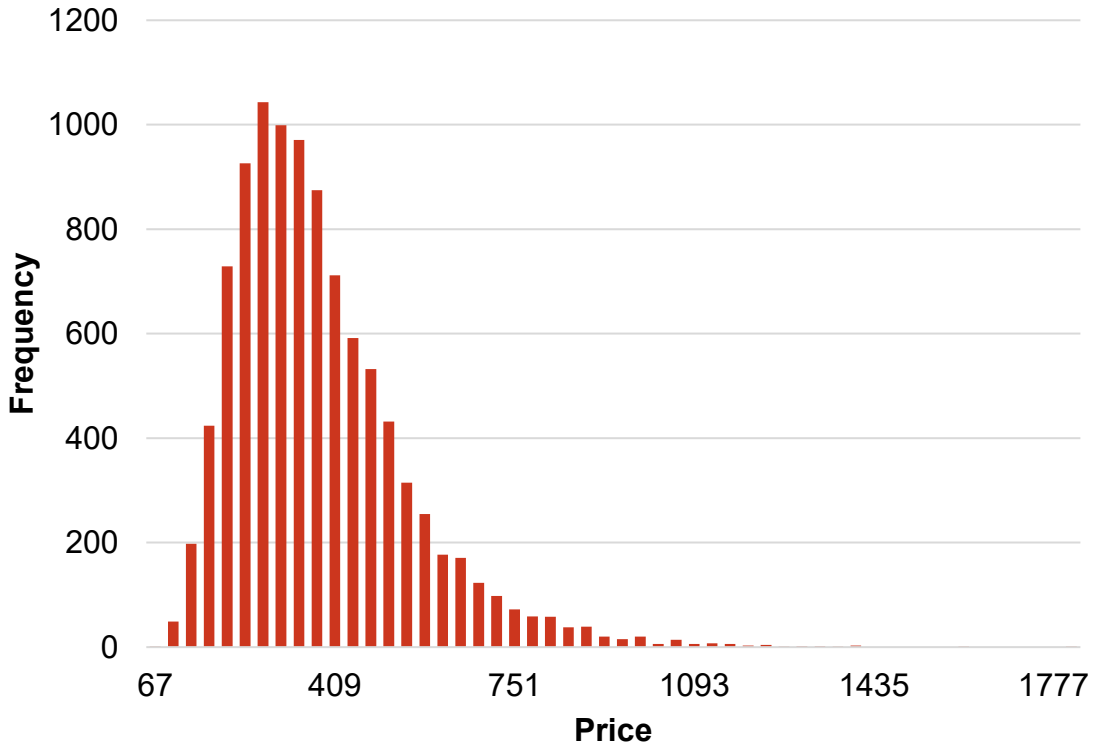
Source: Company Reports, FactSet, Team Analysis

Our peer group focuses on high-performance metals and A&D critical suppliers to reflect Carpenter Technology's specialized market position. ATI (37.5%) and Howmet Aerospace (27.5%) serve as the primary anchors, given their high barriers to entry into the aerospace engine supply chain and technical overlap in nickel-titanium superalloys. Materion (15%) captures the high-margin, tech-driven features of CRS's medical and specialty segments, while Kaiser Aluminum (10%) and Metallus (10%) provide a "diversified valuation floor" by representing the cyclicality and capital intensity of the broader alloy industrial base. For our Comps target price, we apply a 75% weight to EV/EBITDA and 25% to P/E, as EV/EBITDA better normalizes differences in capital structure across the peer set. We excluded EV/Sales as it fails to capture Carpenter's superior margins and pricing power, which would understate its valuation.

Monte Carlo Simulation

To further assess valuation uncertainty, we conducted a Monte Carlo simulation with 10,000 iterations and 252 time steps to capture the distribution of potential outcomes around our base-case assumptions.

Frequency Distribution



Source: Team Analysis

Assumptions and Results Summary

Assumptions	
Maturity (T) (Year)	1
Step size (Dt) (1/252)	0.004
Expected return (μ)	(1.80%)
Dividend Yield (q)	0.24%
Standard Deviation (σ) (3Y)	43.78%

Results Summary	
Min	$67.04
Max	$1,776.74
Average	**$360.68**
10th percentile	**$186.54**
25th percentile	$244.07
Median (50th %ile)	**$328.83**
75th percentile	$442.19
90th percentile	**$573.31**

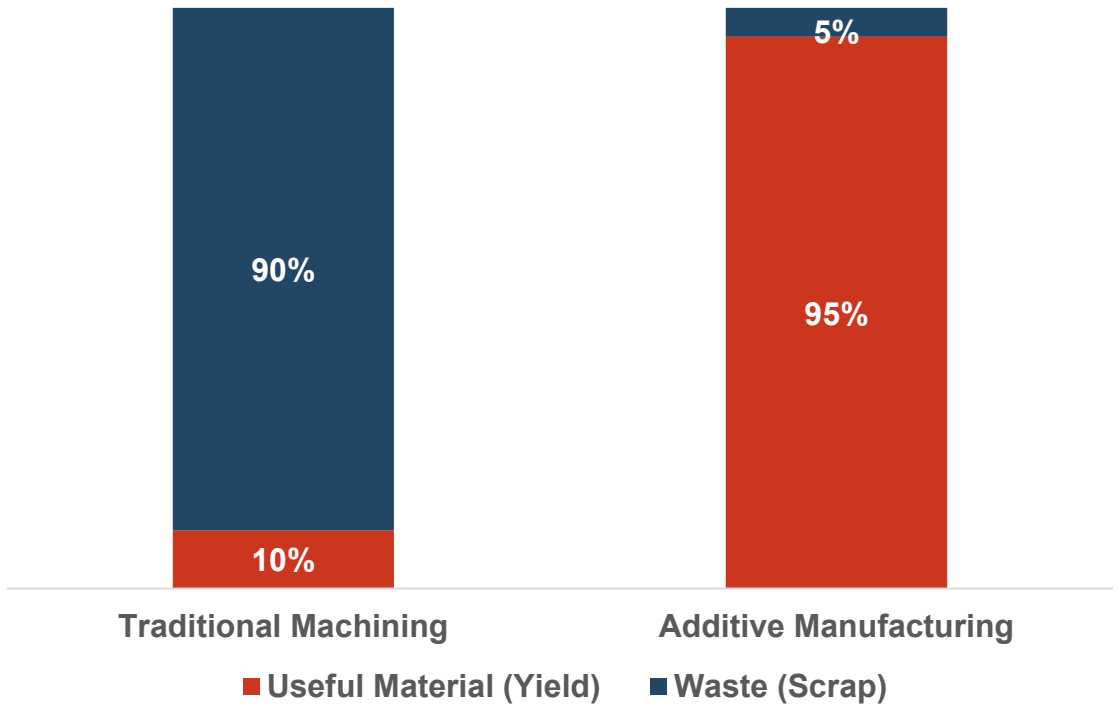
Source: Company Reports, FactSet, Team Analysis

The simulation generated a mean target price of $360.68 (2% downside), a median target price of $328.83 (10.6% downside), and a 10th–90th percentile range of $186.54 - $573.31.

The simulation is conducted with 10,000 iterations over a one-year horizon with 252 daily time steps to align with our 12-month target price framework. The expected return is anchored to the return implied by our target price to ensure alignment between the probabilistic analysis and our fundamental and relative valuation. Volatility is based on CRS's three-year historical standard deviation, which we believe appropriately captures recent market conditions and cyclicality.

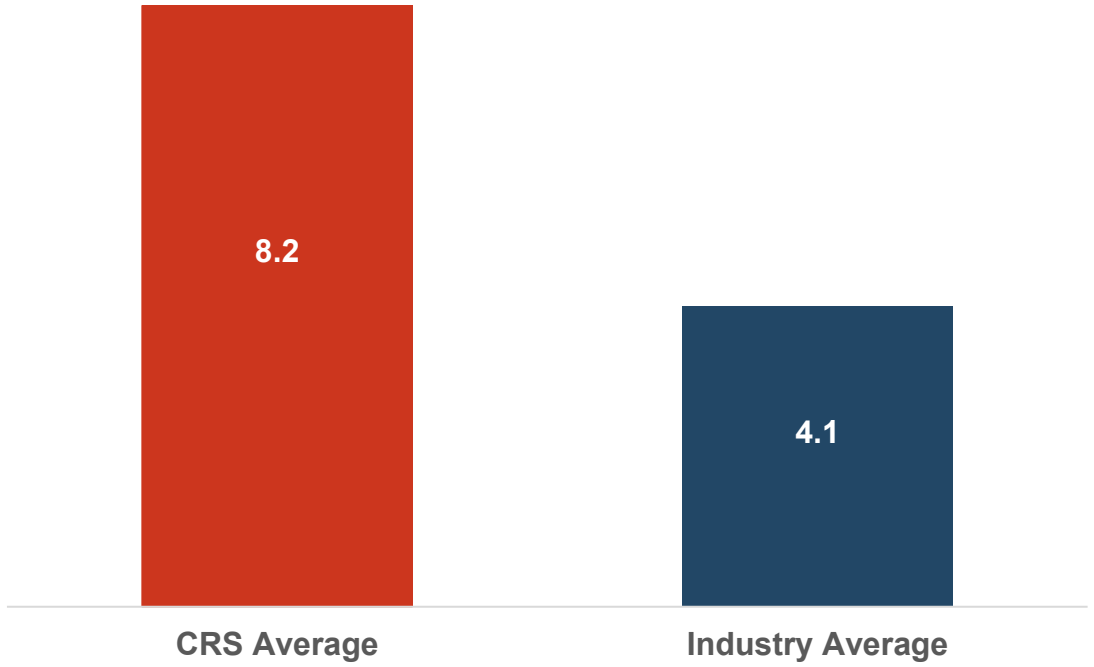
Operational Sustainability: Circular Economy and Workforce Stability

Circular Economy- Additive Manufacturing Efficiency



Source: Company Reports, Team Analysis

Workforce Stability: Tenure (Years) as a Strategic Moat



Source: Company Reports, Team Analysis

Operational Sustainability: Circular Economy and Workforce Stability

Add subtitle/description

Rating Definitions

- **Excellent**: Industry-leading performance fully aligned with global frameworks (e.g., SBTi, NIST) and demonstrating innovative execution.
- **Satisfactory**: Performance that meets or exceeds sector averages with transparent disclosure, but lacks specific third-party validation for long-term targets.
- **Laggard**: Performance that falls below industry peers or displays significant disclosure gaps in key metrics like workforce diversity.

Factor	Carpenter Technology (CRS)	Howmet Aerospace (HWM)	ATI Inc. (ATI)
Environmental	Satisfactory: Uses 90% carbon-neutral power and leading 0.21 tCO2e intensity. Rating is capped because it lacks absolute SBTi target validation.	Satisfactory: Achieved a 21.7% GHG reduction since 2019 with external assurance on Scopes 1-3, but lacks absolute science-based commitments.	Excellent: The peer benchmark for decarbonization due to its SBTi-validated commitment to a 40% absolute emissions reduction by 2030.
Social	Satisfactory: Boasts an elite 1.4 TRIR safety record and high stability (8.2-yr tenure), but is a Laggard in gender diversity (13% female).	Excellent: Maintains robust safety metrics and higher female workforce representation (~29%) compared to the specialty metals average.	Excellent: Leading safety performance and more aggressive, transparent DEI reporting/targets compared to traditional metallurgy peers.
Governance	Excellent: 91% Board independence , 88% CEO at-risk pay , and direct executive financial linkage to safety outcomes.	Excellent: High board independence, robust TCFD reporting transparency, and strong Audit Committee oversight of ESG risks.	Excellent: Industry leader in shareholder rights with 98% "Say-on-Pay" approval and clear links between pay and performance.
Overall	**Satisfactory**	**Satisfactory**	**Excellent**

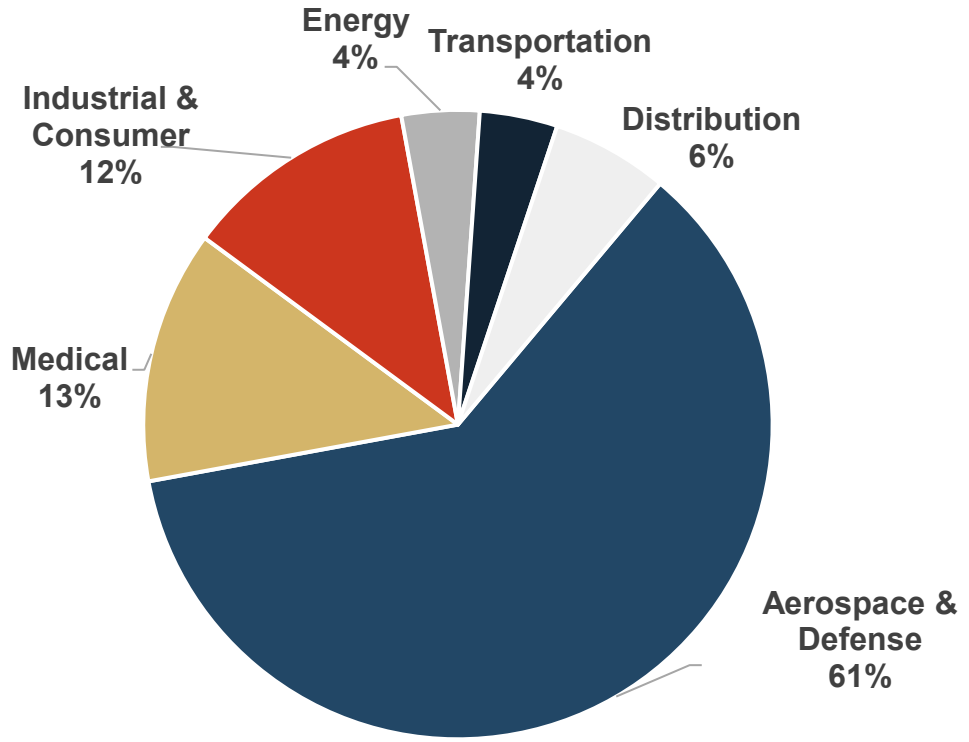
Rationale

The final ESG scores are primarily differentiated by a firm's commitment to absolute sustainability targets and its transparency regarding human capital. ATI Inc. (ATI) earns an Excellent rating as the peer benchmark, distinguished by its SBTi-validated absolute reduction goals and superior diversity reporting. Carpenter Technology (CRS) and Howmet Aerospace (HWM) both earn Satisfactory ratings; while both demonstrate operational strengths—notably CRS's elite 1.4 TRIR safety record and 90% carbon-neutral power usage—their environmental scores are capped due to a reliance on intensity-based targets without third-party validation. CRS is a structural Laggard in demographics with only a 13% female workforce, whereas HWM and ATI show better alignment with modern aerospace manufacturing averages. All three firms exhibit Excellent Governance through high board independence and the explicit linkage of executive pay to safety modifiers.

Source: Company Reports, Team Analysis

Risks

Revenue by Segment (%)



Source: Company Reports, Team Analysis

Recent Insider Activity



Source: Nasdaq, Team Analysis

Macroeconomic & Geopolitical Factors Shaping Performance

Factor	Financial Transmission
Trade Policy & Tariffs	Tariffs increase the cost of imported specialty metals, reducing foreign price competition and strengthening domestic pricing discipline. While raw material surcharge mechanisms raise both revenue and cost of goods sold, margin improvement primarily comes from enhanced pricing power and improved price realization rather than cost pass-through alone.
Defense Spending & Geopolitical Tension	Rising geopolitical tensions support higher defense budgets, driving steady demand for aerospace and defense alloys under long-term government contracts. Multi-year program funding and national security priorities reduce demand cyclicality, improving revenue visibility and stabilizing earnings across economic cycles.
Supply Chain & Strategic Metals Availability	Volatility in nickel, titanium, and other alloy inputs affects production costs and working capital requirements. Contract structures often allow partial cost pass-through, while hedging programs help mitigate input price volatility. Timing differences between cost increases and pricing adjustments can temporarily pressure margins and cash conversion.
Currency & Global Economic Conditions	A stronger U.S. dollar reduces export competitiveness and may slow international demand, while a weaker dollar increases pricing competitiveness abroad and raises the USD value of foreign-denominated sales upon translation. Currency movements therefore influence reported revenue growth and global demand conditions.
Interest Rates	Higher interest rates increase financing costs for airlines and industrial customers, potentially delaying aircraft orders and capital investment. Reduced order activity slows shipment volumes with a lag, limiting operating leverage expansion and moderating revenue growth.

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